

Brewarrina Shire Council

ANNUAL FINANCIAL STATEMENTS
for the year ended 30 June 2024

*Building on the economic and social sustainability in order
to preserve the rich heritage of the community*



Brewarrina Shire Council

GENERAL PURPOSE FINANCIAL STATEMENTS
for the year ended 30 June 2024

*Building on the economic and social sustainability in order
to preserve the rich heritage of the community*



Brewarrina Shire Council

General Purpose Financial Statements

for the year ended 30 June 2024

Contents	Page
Statement by Councillors and Management	3
Primary Financial Statements:	
Income Statement	4
Statement of Comprehensive Income	5
Statement of Financial Position	6
Statement of Changes in Equity	7
Statement of Cash Flows	8
Contents for the notes to the Financial Statements	9
Independent Auditor's Reports:	
On the Financial Statements (Sect 417 [2])	66
On the Financial Statements (Sect 417 [3])	69

Overview

Brewarrina Shire Council is constituted under the Local Government Act 1993 (NSW) and has its principal place of business at:

57 Bathurst Street
Brewarrina NSW 2839

Council's guiding principles are detailed in Chapter 3 of the LGA and includes:

- principles applying to the exercise of functions generally by council,
- principles to be applied when making decisions,
- principles of community participation,
- principles of sound financial management, and
- principles for strategic planning relating to the development of an integrated planning and reporting framework.

A description of the nature of Council's operations and its principal activities are provided in Note B1-2.

Through the use of the internet, we have ensured that our reporting is timely, complete and available at minimum cost. All press releases, financial statements and other information are publicly available on our website: www.brewarrina.nsw.gov.au.

Brewarrina Shire Council

General Purpose Financial Statements

for the year ended 30 June 2024

Statement by Councillors and Management made pursuant to Section 413 (2c) of the *Local Government Act 1993* (NSW)

The attached general purpose financial statements have been prepared in accordance with:

- the *Local Government Act 1993* and the regulations made thereunder,
- the Australian Accounting Standards and other pronouncements of the Australian Accounting Standards Board
- the Local Government Code of Accounting Practice and Financial Reporting.

To the best of our knowledge and belief, these statements:

- present fairly the Council's operating result and financial position for the year
- accord with Council's accounting and other records.

We are not aware of any matter that would render these statements false or misleading in any way.

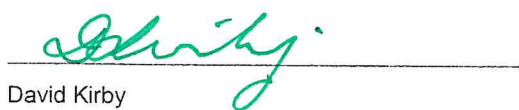
Signed in accordance with a resolution of Council made on 27 August 2024.



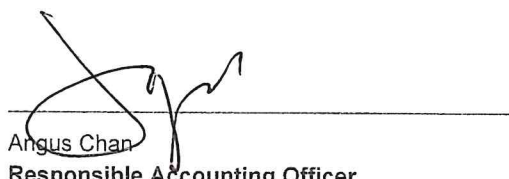
Vivian Slack-Smith
Mayor
27 August 2024



Angelo Pippas
Councillor
27 August 2024



David Kirby
General Manager
27 August 2024



Angus Chan
Responsible Accounting Officer
27 August 2024

Brewarrina Shire Council

Income Statement

for the year ended 30 June 2024

Original unaudited budget 2024 \$ '000		Notes	Actual 2024 \$ '000	Actual 2023 \$ '000
Income from continuing operations				
2,450	Rates and annual charges	B2-1	2,691	2,618
2,082	User charges and fees	B2-2	6,074	6,732
255	Other revenues	B2-3	339	378
10,209	Grants and contributions provided for operating purposes	B2-4	15,245	16,244
15,312	Grants and contributions provided for capital purposes	B2-4	5,996	4,529
714	Interest and investment income	B2-5	1,020	606
147	Other income	B2-6	138	143
–	Net gain from the disposal of assets	B4-1	–	199
31,169	Total income from continuing operations		31,503	31,449
Expenses from continuing operations				
4,509	Employee benefits and on-costs	B3-1	6,625	5,959
6,139	Materials and services	B3-2	13,254	9,934
65	Borrowing costs	B3-3	10	59
6,370	Depreciation, amortisation and impairment of non-financial assets	B3-4	5,910	5,658
393	Other expenses	B3-5	456	420
–	Net loss from the disposal of assets	B4-1	110	–
17,476	Total expenses from continuing operations		26,365	22,030
13,693	Operating result from continuing operations		5,138	9,419
13,693	Net operating result for the year attributable to Council		5,138	9,419
Net operating result for the year before grants and contributions provided for capital purposes				
(1,621)			(858)	4,890

The above Income Statement should be read in conjunction with the accompanying notes.

Brewarrina Shire Council

Statement of Comprehensive Income

for the year ended 30 June 2024

	Notes	2024 \$ '000	2023 \$ '000
Net operating result for the year – from Income Statement		5,138	9,419
Other comprehensive income:			
Amounts which will not be reclassified subsequently to the operating result			
Gain (loss) on revaluation of infrastructure, property, plant and equipment	C1-7	12,564	9,882
Impairment (loss) reversal / (revaluation decrement) relating to infrastructure, property, plant and equipment	C1-7	(1,425)	–
Total items which will not be reclassified subsequently to the operating result		11,139	9,882
Total other comprehensive income for the year		11,139	9,882
Total comprehensive income for the year attributable to Council		16,277	19,301

The above Statement of Comprehensive Income should be read in conjunction with the accompanying notes.

Brewarrina Shire Council

Statement of Financial Position

as at 30 June 2024

	Notes	2024 \$ '000	2023 \$ '000
ASSETS			
Current assets			
Cash and cash equivalents	C1-1	23,819	19,301
Investments	C1-2	3,000	—
Receivables	C1-4	10,700	6,060
Inventories	C1-5	284	343
Contract assets and contract cost assets	C1-6	956	4,605
Other		45	23
Total current assets		38,804	30,332
Non-current assets			
Infrastructure, property, plant and equipment (IPPE)	C1-7	252,828	240,713
Total non-current assets		252,828	240,713
Total assets		291,632	271,045
LIABILITIES			
Current liabilities			
Payables	C3-1	4,113	1,852
Contract liabilities	C3-2	5,400	3,322
Borrowings	C3-3	—	43
Employee benefit provisions	C3-4	1,369	1,093
Total current liabilities		10,882	6,310
Non-current liabilities			
Payables	C3-1	51	51
Borrowings	C3-3	—	320
Employee benefit provisions	C3-4	89	31
Total non-current liabilities		140	402
Total liabilities		11,022	6,712
Net assets		280,610	264,333
EQUITY			
Accumulated surplus		178,338	173,200
IPPE revaluation reserve	C4-1	102,272	91,133
Council equity interest		280,610	264,333
Total equity		280,610	264,333

The above Statement of Financial Position should be read in conjunction with the accompanying notes.

Brewarrina Shire Council

Statement of Changes in Equity

for the year ended 30 June 2024

	Notes	2024			2023		
		Accumulated surplus \$ '000	IPPE revaluation reserve \$ '000	Total equity \$ '000	Accumulated surplus \$ '000	IPPE revaluation reserve \$ '000	Total equity \$ '000
Opening balance at 1 July		173,200	91,133	264,333	163,781	81,251	245,032
Opening balance		173,200	91,133	264,333	163,781	81,251	245,032
Net operating result for the year		5,138	–	5,138	9,419	–	9,419
Net operating result for the period		5,138	–	5,138	9,419	–	9,419
Other comprehensive income							
Gain (loss) on revaluation of infrastructure, property, plant and equipment	C1-7	–	12,564	12,564	–	9,882	9,882
– Impairment (loss)/ reversal relating to IPP&E	C1-7	–	(1,425)	(1,425)	–	–	–
Other comprehensive income		–	11,139	11,139	–	9,882	9,882
Total comprehensive income		5,138	11,139	16,277	9,419	9,882	19,301
Closing balance at 30 June		178,338	102,272	280,610	173,200	91,133	264,333

The above Statement of Changes in Equity should be read in conjunction with the accompanying notes.

Brewarrina Shire Council

Statement of Cash Flows

for the year ended 30 June 2024

Original unaudited budget 2024 \$ '000		Notes	Actual 2024 \$ '000	Actual 2023 \$ '000
Cash flows from operating activities				
Receipts:				
2,401	Rates and annual charges		2,706	2,615
2,127	User charges and fees		6,606	6,418
716	Interest received		985	531
25,523	Grants and contributions		22,646	13,599
–	Bonds, deposits and retentions received		2	–
402	Other		1,227	382
Payments:				
(4,509)	Payments to employees		(6,474)	(5,995)
(6,139)	Payments for materials and services		(13,248)	(9,025)
(65)	Borrowing costs		(13)	(60)
–	Bonds, deposits and retentions refunded		–	(94)
(393)	Other		(226)	(282)
20,063	Net cash flows from operating activities	G1-1	14,211	8,089
Cash flows from investing activities				
Receipts:				
–	Proceeds from sale of IPPE		26	618
Payments:				
–	Purchase of investments		(3,000)	–
(7,292)	Payments for IPPE		(6,356)	(9,348)
(7,292)	Net cash flows from investing activities		(9,330)	(8,730)
Cash flows from financing activities				
Payments:				
(108)	Repayment of borrowings		(363)	(1,046)
(108)	Net cash flows from financing activities		(363)	(1,046)
12,663	Net change in cash and cash equivalents		4,518	(1,687)
–	Cash and cash equivalents at beginning of year		19,301	20,988
12,663	Cash and cash equivalents at end of year	C1-1	23,819	19,301
–	plus: Investments on hand at end of year	C1-2	3,000	–
12,663	Total cash, cash equivalents and investments		26,819	19,301

The above Statement of Cash Flows should be read in conjunction with the accompanying notes.

Brewarrina Shire Council

Contents for the notes to the Financial Statements for the year ended 30 June 2024

A About Council and these financial statements	11
A1-1 Basis of preparation	11
B Financial Performance	14
B1 Functions or activities	14
B1-1 Functions or activities – income, expenses and assets	14
B1-2 Components of functions or activities	15
B2 Sources of income	16
B2-1 Rates and annual charges	16
B2-2 User charges and fees	17
B2-3 Other revenues	18
B2-4 Grants and contributions	19
B2-5 Interest and investment income	22
B2-6 Other income	22
B3 Costs of providing services	23
B3-1 Employee benefits and on-costs	23
B3-2 Materials and services	24
B3-3 Borrowing costs	24
B3-4 Depreciation, amortisation and impairment of non-financial assets	25
B3-5 Other expenses	26
B4 Gains or losses	26
B4-1 Gain or loss from the disposal, replacement and de-recognition of assets	26
B5 Performance against budget	27
B5-1 Material budget variations	27
C Financial position	29
C1 Assets we manage	29
C1-1 Cash and cash equivalents	29
C1-2 Financial investments	29
C1-3 Restricted and allocated cash, cash equivalents and investments	30
C1-4 Receivables	32
C1-5 Inventories	33
C1-6 Contract assets	34
C1-7 Infrastructure, property, plant and equipment	35
C2 Leasing activities	38
C2-1 Council as a lessee	38
C2-2 Council as a lessor	39
C3 Liabilities of Council	40
C3-1 Payables	40
C3-2 Contract Liabilities	41
C3-3 Borrowings	42
C3-4 Employee benefit provisions	44

Brewarrina Shire Council

Contents for the notes to the Financial Statements for the year ended 30 June 2024

C4 Reserves	45
C4-1 Nature and purpose of reserves	45
D Council structure	46
D1 Results by fund	46
D1-1 Income Statement by fund	46
D1-2 Statement of Financial Position by fund	47
E Risks and accounting uncertainties	48
E1-1 Risks relating to financial instruments held	48
E2-1 Fair value measurement	51
E3-1 Contingencies	54
F People and relationships	57
F1 Related party disclosures	57
F1-1 Key management personnel (KMP)	57
F1-2 Councillor and Mayoral fees and associated expenses	59
F2 Other relationships	59
F2-1 Audit fees	59
G Other matters	60
G1-1 Statement of Cash Flows information	60
G2-1 Commitments	61
G3-1 Events occurring after the reporting date	62
G4 Statement of performance measures	63
G4-1 Statement of performance measures – consolidated results	63
G4-2 Statement of performance measures by fund	64

A About Council and these financial statements

A1-1 Basis of preparation

These financial statements were authorised for issue by Council on 27 August 2024. Council has the power to amend and reissue these financial statements in cases where critical information is received from public submissions or where the OLG directs Council to amend the financial statements.

The material accounting policy information related to these financial statements are set out below. Accounting policies have been consistently applied to all the years presented, unless otherwise stated.

These general purpose financial statements have been prepared in accordance with Australian Accounting Standards and Australian Accounting Interpretations, the *Local Government Act 1993 (NSW)* and Regulations, and the Local Government Code of Accounting Practice and Financial Reporting.

Council is a not for-profit entity.

The financial statements are presented in Australian dollars and are rounded to the nearest thousand dollars.

Unless otherwise indicated, all amounts disclosed in the financial statements are actual amounts. Specific budgetary amounts which are not subject to external audit have been included for comparative analysis (to actuals) in the following reports and notes:

- Income statement
- Statement of cash flows
- Note B5-1 – Material budget variations

and are clearly marked.

Historical cost convention

These financial statements have been prepared under the historical cost convention, as modified by the revaluation of certain infrastructure, property, plant and equipment and investment property.

A1-1 Basis of preparation (continued)

Significant accounting estimates and judgements

The preparation of financial statements requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Council's accounting policies.

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that may have a financial impact on the Council and that are believed to be reasonable under the circumstances.

Critical accounting estimates and assumptions

Council makes estimates and assumptions concerning the future.

The resulting accounting estimates will, by definition, seldom equal the related actual results.

The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year include:

- (i) estimated fair values of infrastructure, property, plant and equipment – refer Note C1-7 and Note E2-1
- (ii) employee benefit provisions – refer Note C3-4.

Significant judgements in applying the Council's accounting policies

- (i) Impairment of receivables

Council has made a significant judgement about the impairment of a number of its receivables – refer Note C1-3.

Monies and other assets received by Council

The Consolidated Fund

In accordance with the provisions of Section 409(1) of the Local Government Act 1993 (NSW), all money and property received by Council is held in the Council's Consolidated Fund unless it is required to be held in the Council's Trust Fund.

Cash and other assets of the following entities have been included as part of the Consolidated Fund:

- General purpose operations
- Water service
- Sewerage service

Goods and Services Tax (GST)

A1-1 Basis of preparation (continued)

New accounting standards and interpretations issued but not yet effective

New accounting standards and interpretations issued but not yet effective

Certain new accounting standards and interpretations (ie. pronouncements) have been published by the Australian Accounting Standards Board that are not mandatory for the 30 June 2024 reporting period.

Council has elected not to apply any of these pronouncements in these financial statements before their operative dates.

As at the date of authorisation of these financial statements Council does not consider that any of these new (and still to be applied) standards and interpretations are likely to have a material impact on the Council's future financial statements, financial position, financial performance or cash flows.

New accounting standards adopted during the year

During the year Council adopted all accounting standards and interpretations (as issued by the Australian Accounting Standards Board) which were mandatorily effective from the first time at 30 June 2024.

The following new standard is effective for the first time at 30 June 2024:

- **AASB 2021-2 Amendments to Australian Accounting Standards – Disclosure of Accounting Policies and Definition of Accounting Estimates**

The most significant change introduced by this standard is to remove the requirement to disclose significant accounting policies and instead require disclosure of material accounting policy information.

“Accounting policy information is material if, when considered together with other information included in an entity’s financial statements, it can reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements.”

In applying the new requirements, Council has after taking into account the various specific facts and circumstances applied professional judgement to ensure it discloses only material accounting policies as opposed to significant accounting policies throughout these financial statements.

B Financial Performance

B1 Functions or activities

B1-1 Functions or activities – income, expenses and assets

Income, expenses and assets have been directly attributed to the following functions or activities. Details of those functions or activities are provided in Note B1-2.

	Income		Expenses		Operating result		Grants and contributions		Carrying amount of assets	
	2024 \$ '000	2023 \$ '000	2024 \$ '000	2023 \$ '000	2024 \$ '000	2023 \$ '000	2024 \$ '000	2023 \$ '000	2024 \$ '000	2023 \$ '000
Functions or activities										
Governance	5	–	767	771	(762)	(771)	–	–	–	–
Administration	346	594	4,044	3,043	(3,698)	(2,449)	–	–	43,901	39,365
Public Order and Safety	286	315	419	591	(133)	(276)	110	188	–	–
Health	52	53	207	126	(155)	(73)	–	–	–	–
Environment	387	355	857	700	(470)	(345)	71	42	3,877	3,727
Community Services and Education	328	524	911	227	(583)	297	218	402	27,663	26,471
Housing and Community Amenities	369	117	551	447	(182)	(330)	272	20	1,061	991
Water Supplies	1,378	1,152	1,644	1,452	(266)	(300)	–	–	17,184	16,726
Sewerage Services	584	566	655	686	(71)	(120)	–	5	9,993	9,700
Recreation and Culture	2,244	918	1,212	1,354	1,032	(436)	2,234	898	4,974	3,135
Mining, Manufacturing and Construction	1	1	31	27	(30)	(26)	–	–	–	–
Transport and Communication	16,487	17,270	13,720	11,308	2,767	5,962	12,147	11,845	182,979	170,930
Economic Affairs	904	648	1,347	1,298	(443)	(650)	–	–	–	–
General Purpose Income	8,132	8,936	–	–	8,132	8,936	6,189	7,373	–	–
Total functions and activities	31,503	31,449	26,365	22,030	5,138	9,419	21,241	20,773	291,632	271,045

B1-2 Components of functions or activities

Details relating to the Council's functions or activities as reported in B1-1 are as follows:

GOVERNANCE

Includes costs relating to Council's role as a component of democratic government, including elections, members' fees and expenses, subscriptions to local authority associations, meetings of Council and policymaking committees, public disclosure (e.g. GIPA), and legislative compliance.

ADMINISTRATION

Includes corporate support and other support services, engineering works, and any Council policy compliance.

PUBLIC ORDER AND SAFETY

Includes Council's fire and emergency services levy, fire protection, emergency services, beach control, enforcement of regulations and animal control.

HEALTH

Includes immunisation, food control, health centres etc.

ENVIRONMENT

Includes noxious plants and insect/vermin control; other environmental protection; solid waste management, including domestic waste; other waste management; other sanitation; and garbage, street cleaning, drainage and stormwater management.

COMMUNITY SERVICES AND EDUCATION

Includes administration and education; social protection (welfare); migrant, Aboriginal and other community services and administration (excluding accommodation – as it is covered under 'housing and community amenities'); youth services; aged and disabled persons services; children's services, including family day care; child care; and other family and children services.

HOUSING AND COMMUNITY AMENITIES

Includes public cemeteries; public conveniences; street lighting; town planning; other community amenities, including housing development and accommodation for families and children, aged persons, disabled persons, migrants and Indigenous persons.

WATER SUPPLIES

Includes water supplies to Brewarrina, Angledool and Goodooga.

SEWERAGE SERVICES

Includes sewerage services to Brewarrina and Goodooga.

RECREATION AND CULTURE

Includes public libraries; museums; art galleries; community centres and halls, including public halls and performing arts venues; sporting grounds and venues; swimming pools; parks; gardens; lakes; and other sporting, recreational and cultural services.

MINING, MANUFACTURING AND CONSTRUCTION

Includes building control, quarries and pits, mineral resources, and abattoirs.

TRANSPORT AND COMMUNICATION

Urban local, urban regional, includes sealed and unsealed roads, bridges, footpaths, parking areas, and aerodromes.

ECONOMIC AFFAIRS

Includes camping areas and caravan parks; tourism and area promotion; industrial development promotion; sale yards and markets; real estate development; commercial nurseries; and other business undertakings.

B2 Sources of income

B2-1 Rates and annual charges

	2024 \$ '000	2023 \$ '000
Ordinary rates		
Residential	75	104
Farmland	1,053	1,000
Business	19	19
Less: pensioner rebates (mandatory)	(3)	(4)
Rates levied to ratepayers	1,144	1,119
Pensioner rate subsidies received	2	2
Total ordinary rates	1,146	1,121
Annual charges (pursuant to s496, 496A, 496B, 501 & 611)		
Domestic waste management services	241	234
Water supply services	799	771
Sewerage services	511	498
Less: pensioner rebates (mandatory)	(14)	(14)
Annual charges levied	1,537	1,489
Pensioner annual charges subsidies received:		
– Water	2	2
– Sewerage	2	2
– Domestic waste management	4	4
Total annual charges	1,545	1,497
Total rates and annual charges	2,691	2,618
Timing of revenue recognition for rates and annual charges		
Rates and annual charges recognised at a point in time (2)	2,691	2,618
Total rates and annual charges	2,691	2,618

Council has used 2022 year valuations provided by the NSW Valuer General in calculating its rates.

Material accounting policy information

Rates and annual charges are recognised as revenue at the beginning of the rating period to which they relate. Prepaid rates are recognised as a financial liability until the beginning of the rating period.

Pensioner rebates relate to reductions in rates and certain annual charges for eligible pensioners' place of residence in the local government council area.

Pensioner rate subsidies are received from the NSW Government to provide a contribution towards the pensioner rebates and are recognised within the underlying revenue item based on their substance.

B2-2 User charges and fees

	Timing	2024 \$ '000	2023 \$ '000
Specific user charges (per s502 - specific 'actual use' charges)			
Water supply services	1	436	280
Waste management services (non-domestic)	1	66	73
Total specific user charges		502	353
Other user charges and fees			
(i) Fees and charges – statutory and regulatory functions (per s608)			
Planning and building regulation	2	1	1
Private works – section 67	2	1,036	737
Regulatory / statutory fees	2	8	16
Section 10.7 certificates (EP&A Act)	2	7	4
Section 603 certificates	2	4	2
Other	2	1	1
Total fees and charges – statutory/regulatory		1,057	761
(ii) Fees and charges – other (incl. general user charges (per s608))			
Centrelink agency fee	1	74	69
Cemeteries	2	30	21
Community centres	2	7	4
Leaseback fees – Council vehicles	2	52	44
Transport for NSW works (state roads not controlled by Council)	1	4,310	5,416
Sundry sales	2	27	31
Tourism	2	5	4
Water connection fees	2	5	8
Youth services	2	5	21
Total fees and charges – other		4,515	5,618
Total other user charges and fees		5,572	6,379
Total user charges and fees		6,074	6,732
Timing of revenue recognition for user charges and fees			
User charges and fees recognised over time (1)		4,812	1,233
User charges and fees recognised at a point in time (2)		1,262	5,499
Total user charges and fees		6,074	6,732

Material accounting policy information

Revenue arising from user charges and fees is recognised when or as the performance obligation is completed and the customer receives the benefit of the goods / services being provided.

The performance obligation relates to the specific services which are provided to the customers and generally the payment terms are within 30 days of the provision of the service or in some cases such as caravan parks, the customer is required to pay on arrival or a deposit in advance. There is no material obligation for Council in relation to refunds or returns.

Where an upfront fee is charged such as joining fees for the leisure centre the fee is recognised on a straight-line basis over the expected life of the membership.

Licences granted by Council are all either short-term or low value and all revenue from licences is recognised at the time that the licence is granted rather than over the term of the licence.

B2-3 Other revenues

	Timing	2024 \$ '000	2023 \$ '000
Legal fees recovery – rates and charges (extra charges)	2	–	1
Commissions and agency fees	1	49	51
Diesel rebate	2	119	58
Insurance claims recoveries	2	95	122
OHS incentive/insurance discount	2	–	18
Rebates and Reimbursements	2	60	71
Other	2	16	57
Total other revenue		339	378

Timing of revenue recognition for other revenue

Other revenue recognised over time (1)	49	51
Other revenue recognised at a point in time (2)	290	327
Total other revenue	339	378

Material accounting policy information for other revenue

Where the revenue is earned for the provision of specified goods / services under an enforceable contract, revenue is recognised when or as the obligations are satisfied.

Statutory fees and fines are recognised as revenue when the service has been provided, the payment is received or when the penalty has been applied, whichever occurs first.

Other revenue is recorded when the payment is due, the value of the payment is notified, or the payment is received, whichever occurs first.

B2-4 Grants and contributions

	Notes	Timing	Operating 2024 \$ '000	Operating 2023 \$ '000	Capital 2024 \$ '000	Capital 2023 \$ '000
General purpose grants and non-developer contributions (untied)						
General purpose (untied)						
Current year allocation						
Financial assistance – general component		2	448	1,082	–	–
Financial assistance – local roads component		2	65	408	–	–
Payment in advance - future year allocation						
Financial assistance – general component		2	4,221	4,243	–	–
Financial assistance – local roads component		2	1,456	1,640	–	–
Amount recognised as income during current year			6,190	7,373	–	–
Special purpose grants and non-developer contributions (tied)						
Cash contributions						
Sewerage		2	–	–	–	5
Community care		2	15	30	–	–
Heritage and cultural		2	–	6	–	–
Library – per capita		2	–	4	–	–
Library – special projects		2	52	–	20	64
LIRS subsidy		2	–	–	–	1
Noxious weeds		2	71	42	–	–
Recreation and culture		1	86	10	2,334	819
NSW rural fire services		1	7	188	–	–
Storm/flood damage		2	1,612	3,310	–	–
Community care services		2	165	236	–	–
Street lighting		2	14	14	–	–
Transport (roads to recovery)		2	1,556	200	–	–
Transport (other roads and bridges funding)		1	–	–	3,538	3,640
Community services		2	37	135	–	–
Transport for NSW contributions (regional roads, block grant)		2	5,440	4,696	–	–
Total special purpose grants and non-developer contributions – cash			9,055	8,871	5,892	4,529
Non-cash contributions						
Bushfire services	C1-7	1	–	–	104	–
Total other contributions – non-cash			–	–	104	–
Total special purpose grants and non-developer contributions (tied)			9,055	8,871	5,996	4,529
Total grants and non-developer contributions			15,245	16,244	5,996	4,529
Comprising:						
– Commonwealth funding			7,761	7,373	2,106	81
– State funding			7,484	8,871	3,890	4,448
			15,245	16,244	5,996	4,529

B2-4 Grants and contributions (continued)

Unspent grants and contributions

Certain grants and contributions are obtained by Council on the condition they be spent in a specified manner or in a future period but which are not yet spent in accordance with those conditions are as follows:

	Operating 2024 \$ '000	Operating 2023 \$ '000	Capital 2024 \$ '000	Capital 2023 \$ '000
Unspent grants and contributions				
Unspent funds at 1 July	4,131	194	3,274	4,555
Add: Funds recognised as revenue in the reporting year but not yet spent in accordance with the conditions	6,315	4,405	–	–
Add: Funds received and not recognised as revenue in the current year	–	48	5,797	2,610
Less: Funds recognised as revenue in previous years that have been spent during the reporting year	(4,083)	(349)	–	(292)
Less: Funds received in prior year but revenue recognised and funds spent in current year	(48)	(167)	(3,274)	(3,599)
Unspent funds at 30 June	6,315	4,131	5,797	3,274
Contributions				
Unspent funds at 1 July	–	2	–	–
Add: contributions recognised as revenue in the reporting year but not yet spent in accordance with the conditions	–	–	–	–
Less: contributions recognised as revenue in previous years that have been spent during the reporting year	–	(2)	–	–
Unspent contributions at 30 June	–	–	–	–

Material accounting policy information

Grants and contributions – enforceable agreement with sufficiently specific performance obligations

Grant and contribution revenue from an agreement which is enforceable and contains sufficiently specific performance obligations is recognised as or when control of each performance obligations is transferred.

The performance obligations vary according to the agreement. Payment terms vary depending on the terms of the grant, cash is received upfront for some grants and on the achievement of certain payment milestones for others.

Performance obligations may be satisfied either at a point in time or over time and this is reflected in the revenue recognition pattern. Point in time recognition occurs when the beneficiary obtains control of the goods / services at a single time (e.g. completion of the project when a report / outcome is provided), whereas over time recognition is where the control of the services is ongoing throughout the project (e.g. provision of community health services through the year).

Where control is transferred over time, generally the input methods being either costs or time incurred are deemed to be the most appropriate methods to reflect the transfer of benefit.

Capital grants

Capital grants received by Council under an enforceable contract for the acquisition or construction of infrastructure, property, plant and equipment to identified specifications which will be under Council's control on completion are recognised as revenue as and when the obligation to construct or purchase is completed.

For construction projects, this is generally as the construction progresses in accordance with costs incurred since this is deemed to be the most appropriate measure of the completeness of the construction project.

For acquisitions of assets, the revenue is recognised when the asset is acquired and controlled by the Council.

B2-4 Grants and contributions (continued)

Other grants and contributions

Assets, including cash, received from other grants and contributions are recognised at fair value when the asset is received. Council considers whether there are any related liability or equity items associated with the asset which are recognised in accordance with the relevant accounting standard.

Once the assets and liabilities have been recognised then income is recognised for any remaining asset value at the time that the asset is received.

B2-5 Interest and investment income

	2024	2023
	\$ '000	\$ '000
Interest on financial assets measured at amortised cost		
– Overdue rates and annual charges (incl. special purpose rates)	63	37
– Cash and investments	957	569
Total interest and investment income (losses)	1,020	606

B2-6 Other income

	2024	2023
	\$ '000	\$ '000
	Notes	
Rental income		
Hire of Council owned property	138	143
Total rental income	138	143
Total other income	138	143

B3 Costs of providing services

B3-1 Employee benefits and on-costs

	2024 \$ '000	2023 \$ '000
Salaries and wages	5,183	4,927
Employee leave entitlements (ELE)	936	743
Superannuation	565	500
Workers' compensation insurance	337	269
Fringe benefit tax (FBT)	72	72
Protective clothing	–	1
Total employee costs	7,093	6,512
Less: capitalised costs	(468)	(553)
Total employee costs expensed	6,625	5,959
Number of 'full-time equivalent' employees (FTE) at year end	63	67
Number of 'full-time equivalent' employees (FTE) at year end (incl. vacancies)	71	74

Material accounting policy information

Retirement benefit obligations

All employees of the Council are entitled to benefits on retirement, disability or death. Council contributes to various defined benefit plans and defined contribution plans on behalf of its employees.

Superannuation plans

Contributions to defined contribution plans are recognised as an expense as they become payable. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in the future payments is available.

Council participates in a defined benefit plan under the Local Government Superannuation Scheme, however, sufficient information to account for the plan as a defined benefit is not available and therefore Council accounts for its obligations to defined benefit plans on the same basis as its obligations to defined contribution plans, i.e. as an expense when it becomes payable – refer to Note E3-1 for more information.

B3-2 Materials and services

		2024 \$ '000	2023 \$ '000
	Notes		
Raw materials and consumables		9,122	6,670
Contractor costs		595	438
Audit Fees	F2-1	86	73
Previously other expenses:			
Councillor and Mayoral fees and associated expenses	F1-2	173	159
Advertising		88	42
Bank charges		5	3
Cleaning		261	177
Computer software charges		153	174
Electricity and heating		295	209
Insurance		589	573
Postage		6	6
Printing and stationery		24	21
Street lighting		49	38
Subscriptions and publications		87	122
Telephone and communications		78	58
Valuation fees		10	10
Yetta Farm operations		87	87
Travel expenses		188	64
Registration costs		69	129
Training costs (other than salaries and wages)		245	191
Other expenses		515	367
Aboriginal Communities Program Costs		510	319
Legal expenses:			
– Legal expenses: debt recovery		19	4
Total materials and services		13,254	9,934

B3-3 Borrowing costs

Interest bearing liability costs

Interest on loans	10	59
Total interest bearing liability costs	10	59
Total borrowing costs expensed	10	59

B3-4 Depreciation, amortisation and impairment of non-financial assets

	Notes	2024 \$ '000	2023 \$ '000
Depreciation and amortisation			
Plant and equipment		1,436	1,584
Office equipment		34	57
Furniture and fittings		5	6
Infrastructure:	C1-7		
– Buildings – non-specialised		67	57
– Buildings – specialised		539	611
– Other structures		351	348
– Roads		2,310	2,048
– Bridges		241	221
– Footpaths		50	43
– Stormwater drainage		26	24
– Water supply network		508	472
– Sewerage network		206	279
– Swimming pools		72	71
– Bulk earthworks – levee bank		47	45
– Airport		64	61
– Other open space/recreational assets		29	26
Less: capitalised costs		(75)	(295)
Total depreciation and amortisation costs		5,910	5,658
Impairment / revaluation decrement of non-financial assets			
Infrastructure:	C1-7		
– Roads		1,425	–
Amounts taken through revaluation reserve	C1-7	(1,425)	–
Total IPPE impairment / revaluation decrement costs charged to Income Statement		–	–
Total depreciation, amortisation and impairment for non-financial assets		5,910	5,658

Material accounting policy information

Depreciation and amortisation

Depreciation and amortisation are calculated using the straight line method to allocate their cost, net of their residual values, over their estimated useful lives. Useful lives are included in Note C1-7 for IPPE assets.

Depreciation is capitalised where in-house assets have contributed to new assets.

B3-5 Other expenses

	Notes	2024 \$ '000	2023 \$ '000
Impairment of receivables			
Other		175	100
Total impairment of receivables	C1-4	175	100
Other			
Contributions/levies to other levels of government			
– NSW fire brigade levy		24	29
– NSW rural fire service levy		199	237
Donations, contributions and assistance to other organisations (Section 356)		4	–
– Moree regional library		54	54
Total other		281	320
Total other expenses		456	420

B4 Gains or losses

B4-1 Gain or loss from the disposal, replacement and de-recognition of assets

	Notes	2024 \$ '000	2023 \$ '000
Gain (or loss) on disposal of plant and equipment	C1-7		
Proceeds from disposal – plant and equipment		14	505
Less: carrying amount of plant and equipment assets sold/written off		(129)	(117)
Gain (or loss) on disposal		(115)	388
Gain (or loss) on disposal of infrastructure	C1-7		
Proceeds from disposal of infrastructures		12	113
Less: carrying amount of infrastructure assets sold/written off		(7)	(302)
Gain (or loss) on disposal		5	(189)
Net gain (or loss) from disposal of assets		(110)	199

B5 Performance against budget

B5-1 Material budget variations

Council's original budget was adopted by the Council on 23 June 2023 and is not required to be audited. The original projections on which the budget was based have been affected by a number of factors. These include state and federal government decisions, including new grant programs, changing economic activity, environmental factors, and by decisions made by Council.

While these General Purpose Financial Statements include the original budget adopted by Council, the Act requires Council to review its financial budget on a quarterly basis, so it is able to manage the variation between actuals and budget that invariably occur during the year.

Material variations of more than 10% between original budget and actual results or where the variance is considered material by nature are explained below.

Variation Key: **F** = Favourable budget variation, **U** = Unfavourable budget variation.

\$ '000	2024 Budget	2024 Actual	2024 ----- Variance -----	
Revenues				
Rates and annual charges	2,450	2,691	241	10% F
User charges and fees	2,082	6,074	3,992	192% F
Mostly due to increased amount of emergency works on state roads under RMCC contracts.				
Other revenues	255	339	84	33% F
Mostly increase in diesel rebates.				
Operating grants and contributions	10,209	15,245	5,036	49% F
RLRRP grant additional funds received.				
Capital grants and contributions	15,312	5,996	(9,316)	(61)% U
Planned capital works for recreation and culture were deferred to the next year.				
Interest and investment revenue	714	1,020	306	43% F
Increase in actual interest rates. Hard to budget.				
Other income	147	138	(9)	(6)% U
Expenses				
Employee benefits and on-costs	4,509	6,625	(2,116)	(47)% U
Actual capitalisation of employee costs was less than budgeted.				
Materials and services	6,139	13,254	(7,115)	(116)% U
Refocus on flood recovery and maintenance road works.				
Borrowing costs	65	10	55	85% F
Pay-off of the remaining loan before a due date.				
Depreciation, amortisation and impairment of non-financial assets	6,370	5,910	460	7% F
Other expenses	393	456	(63)	(16)% U
Increase in actual bad debt provision accruals.				

B5-1 Material budget variations (continued)

\$ '000	2024 Budget	2024 Actual	2024 ----- Variance -----	
Statement of cash flows				
Cash flows from operating activities	20,063	14,211	(5,852)	(29)% U
Increase in material and services and operating salaries because of higher volume of roads repair and maintenance works.				
Cash flows from investing activities	(7,292)	(9,330)	(2,038)	28% U
Some capital projects were postponed to the next year. Unbudgeted short-term deposit was placed.				
Cash flows from financing activities	(108)	(363)	(255)	236% U
Unbudgeted repayment of a loan.				

C Financial position

C1 Assets we manage

C1-1 Cash and cash equivalents

	2024 \$ '000	2023 \$ '000
Cash assets		
Cash on hand and at bank	5,719	154
Cash equivalent assets		
– Deposits at call	7,100	6,147
– Short-term deposits	11,000	13,000
Total cash and cash equivalents	23,819	19,301

Reconciliation of cash and cash equivalents

Total cash and cash equivalents per Statement of Financial Position	23,819	19,301
Balance as per the Statement of Cash Flows	23,819	19,301

C1-2 Financial investments

	2024 Current \$ '000	2024 Non-current \$ '000	2023 Current \$ '000	2023 Non-current \$ '000
Debt securities at amortised cost				
Short-term deposits	3,000	–	–	–
Total	3,000	–	–	–
Total financial investments	3,000	–	–	–
Total cash assets, cash equivalents and investments	26,819	–	19,301	–

C1-3 Restricted and allocated cash, cash equivalents and investments

	2024 \$ '000	2023 \$ '000
(a) Externally restricted cash, cash equivalents and investments		
Total cash, cash equivalents and investments	26,819	19,301
Less: Externally restricted cash, cash equivalents and investments	(15,188)	(10,728)
Cash, cash equivalents and investments not subject to external restrictions	11,631	8,573
External restrictions		
External restrictions – included in liabilities		
External restrictions included in cash, cash equivalents and investments above comprise:		
Specific purpose unexpended grants – general fund	5,743	3,302
Specific purpose unexpended grants – sewer fund	45	20
External restrictions – included in liabilities	5,788	3,322
External restrictions – other		
External restrictions included in cash, cash equivalents and investments above comprise:		
Specific purpose unexpended grants – (GF)	6,324	4,083
Water supplies – (bank)	1,848	2,204
Sewerage services – (bank)	1,228	967
Domestic waste management	–	152
External restrictions – other	9,400	7,406
Total external restrictions	15,188	10,728

Cash, cash equivalents and investments subject to external restrictions are those which are only available for specific use by Council due to a restriction placed by legislation or third-party contractual agreement.

C1-3 Restricted and allocated cash, cash equivalents and investments (continued)

	2024	2023
	\$ '000	\$ '000

(b) Internal allocations**Cash, cash equivalents and investments not subject to external restrictions**

	11,631	8,573
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Less: Internally restricted cash, cash equivalents and investments

	(11,136)	(8,008)
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Unrestricted and unallocated cash, cash equivalents and investments

	495	565
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Internal allocations

At 30 June, Council has internally allocated funds to the following:

Plant and vehicle replacement	1,000	–
Infrastructure replacement	2,000	1,000
Employees leave entitlement	1,459	1,124
Carry over works	1,000	–
Prepaid financial assistance grant – general	4,221	4,243
Prepaid financial assistance grant – roads	1,456	1,641
Total internal allocations	11,136	8,008

Cash, cash equivalents and investments not subject to external restrictions may be internally allocated by resolution or policy of the elected Council.

	2024	2023
	\$ '000	\$ '000

(c) Unrestricted and unallocated

Unrestricted and unallocated cash, cash equivalents and investments	495	565
--	------------	------------

C1-4 Receivables

	2024 Current \$ '000	2024 Non-current \$ '000	2023 Current \$ '000	2023 Non-current \$ '000
Rates and annual charges	650	–	591	–
Interest and extra charges	174	–	203	–
User charges and fees	1,286	–	639	–
Private works	–	–	12	–
Accrued revenues				
– Interest on investments	158	–	54	–
Government grants and subsidies	9,300	–	5,082	–
Net GST receivable	–	–	171	–
Other debtors	3	–	3	–
Total	11,571	–	6,755	–
Less: provision for impairment				
Rates and annual charges	(524)	–	(450)	–
Interest and extra charges	(150)	–	(110)	–
User charges and fees	(197)	–	(135)	–
Total provision for impairment – receivables	(871)	–	(695)	–
Total net receivables	10,700	–	6,060	–
Externally restricted receivables				
Water supply				
– Rates and availability charges	348	–	251	–
Sewerage services				
– Rates and availability charges	76	–	60	–
Domestic waste management	100	–	86	–
Total external restrictions	524	–	397	–
Unrestricted receivables	10,176	–	5,663	–
Total net receivables	10,700	–	6,060	–

	2024 \$ '000	2023 \$ '000
Movement in provision for impairment of receivables		
Balance at the beginning of the year	695	596
+ new provisions recognised during the year	176	99
Balance at the end of the year	871	695

C1-4 Receivables (continued)

Material accounting policy information

Receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less provision for impairment. Receivables are generally due for settlement within 30 days.

Impairment

Impairment of financial assets measured at amortised cost is recognised on an expected credit loss (ECL) basis.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition, and when estimating ECL, the Council considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis based on Council's historical experience and informed credit assessment, and including forward-looking information.

When considering the ECL for rates debtors, Council takes into account that unpaid rates represent a charge against the rateable property that will be recovered when the property is next sold. For non-rates debtors, Council uses the presumption that an asset which is more than 30 days past due has seen a significant increase in credit risk.

The Council uses the presentation that a financial asset is in default when:

- the other party is unlikely to pay its credit obligations to the Council in full, without recourse by the Council to actions such as realising security (if any is held) or
- the financial assets (for non-rates debtors) are more than 90 days past due.

Credit losses are measured as the present value of the difference between the cash flows due to the entity in accordance with the contract, and the cash flows expected to be received. This is applied using a probability weighted approach.

On initial recognition of the asset, an estimate of the expected credit losses for the next 12 months is recognised. Where the asset has experienced significant increase in credit risk then the lifetime losses are estimated and recognised.

Council uses the simplified approach for trade receivables where the expected lifetime credit losses are recognised on day 1.

There has been no change in the estimation techniques or significant assumptions made during the current reporting period.

The Council writes off a trade receivable when there is information indicating that the debtor is in severe financial difficulty and there is no realistic prospect of recovery, e.g. when the debtor has been placed under liquidation or has entered into bankruptcy proceedings, or when the receivables are over 5 years past due, whichever occurs first.

None of the receivables that have been written off are subject to enforcement activity.

Where the Council renegotiates the terms of receivables due from certain customers, the new expected cash flows are discounted at the original effective interest rate and any resulting difference to the carrying value is recognised in profit or loss.

Rates and annual charges outstanding are secured against the property.

C1-5 Inventories

	2024 Current \$ '000	2024 Non-current \$ '000	2023 Current \$ '000	2023 Non-current \$ '000
(i) Inventories at cost				
Stores and materials	284	—	343	—
Total inventories at cost	284	—	343	—
Total inventories	284	—	343	—

C1-6 Contract assets

	2024 Current \$ '000	2024 Non-current \$ '000	2023 Current \$ '000	2023 Non-current \$ '000
Contract assets	956	—	4,605	—
Total contract assets	956	—	4,605	—

Contract assets

Contract Assets under AASB 15	956	—	4,605	—
Total contract assets	956	—	4,605	—

Significant changes in contract assets

Contract Assets relating to work for external parties (AASB 15)

Drop due to receipt of natural disasters recoveries on works on state roads under RMCC contracts performed in 2023.

C1-7 Infrastructure, property, plant and equipment

By aggregated asset class	At 1 July 2023			Asset movements during the reporting period									At 30 June 2024		
	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount	Additions renewals	Additions new assets	Carrying value of disposals	Depreciation expense	Impairment loss / revaluation decrements (recognised in equity)	WIP transfers	Adjustments and transfers	Contributed (from Note B2-4)	Revaluation increments to equity (ARR)	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount
	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000
Capital work in progress	1,334	–	1,334	188	5,406	–	–	–	(713)	–	–	–	6,215	–	6,215
Plant and equipment	12,622	(7,630)	4,992	–	542	(129)	(1,436)	–	–	–	104	–	13,344	(9,271)	4,073
Office equipment	466	(330)	136	–	37	–	(34)	–	–	–	–	–	503	(364)	139
Furniture and fittings	176	(161)	15	–	–	–	(5)	–	–	–	–	–	176	(166)	10
Land:															
– Operational land	1,869	–	1,869	–	62	(7)	–	–	–	–	–	173	2,097	–	2,097
– Community land	362	–	362	–	–	–	–	–	–	–	–	35	397	–	397
Infrastructure:															
– Buildings – non-specialised	3,446	(1,411)	2,035	–	–	–	(67)	–	–	–	–	137	3,686	(1,581)	2,105
– Buildings – specialised	36,008	(10,388)	25,620	6	–	–	(539)	–	–	–	–	1,742	38,514	(11,685)	26,829
– Other structures	7,898	(2,662)	5,236	86	–	–	(351)	–	17	–	–	159	8,258	(3,111)	5,147
– Roads	172,298	(25,427)	146,871	2	184	–	(2,310)	(1,425)	19	(30)	–	7,757	181,713	(30,645)	151,068
– Bridges	24,088	(5,975)	18,113	–	–	–	(241)	–	–	–	–	959	25,380	(6,549)	18,831
– Footpaths	3,363	(842)	2,521	–	405	–	(50)	–	–	–	–	133	3,949	(940)	3,009
– Bulk earthworks – levee bank	6,489	(2,762)	3,727	–	–	–	(47)	–	–	–	–	197	6,837	(2,960)	3,877
– Stormwater drainage	1,850	(1,150)	700	–	–	–	(26)	–	–	–	–	34	1,943	(1,235)	708
– Water supply network	24,558	(10,588)	13,970	68	–	–	(508)	–	34	–	–	683	25,902	(11,655)	14,247
– Sewerage network	14,027	(6,306)	7,721	–	–	–	(206)	–	643	–	–	381	15,381	(6,842)	8,539
– Swimming pools	3,061	(1,346)	1,715	35	–	–	(72)	–	–	–	–	54	3,196	(1,464)	1,732
– Other open space/recreational assets	1,347	(183)	1,164	2	–	–	(29)	–	–	–	–	37	1,393	(219)	1,174
– Airport	4,623	(2,011)	2,612	–	–	–	(64)	–	–	–	–	83	4,774	(2,143)	2,631
Total infrastructure, property, plant and equipment	319,885	(79,172)	240,713	387	6,636	(136)	(5,985)	(1,425)	–	(30)	104	12,564	343,658	(90,830)	252,828

C1-7 Infrastructure, property, plant and equipment (continued)

By aggregated asset class	At 1 July 2022			Asset movements during the reporting period							At 30 June 2023		
	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount	Additions renewals ²	Additions new assets	Carrying value of disposals	Depreciation expense ¹	WIP transfers	Revaluation decrements to equity (ARR)	Revaluation increments to equity (ARR)	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount
	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000
Capital work in progress	502	–	502	–	1,065	–	–	(233)	–	–	1,334	–	1,334
Plant and equipment	12,725	(6,717)	6,008	–	685	(117)	(1,584)	–	–	–	12,622	(7,630)	4,992
Office equipment	466	(273)	193	–	–	–	(57)	–	–	–	466	(330)	136
Furniture and fittings	176	(155)	21	–	–	–	(6)	–	–	–	176	(161)	15
Land:													
– Operational land	1,632	–	1,632	–	–	–	–	–	–	237	1,869	–	1,869
– Community land	228	–	228	–	–	–	–	–	–	134	362	–	362
Infrastructure:													
– Buildings – non-specialised	2,391	(161)	2,230	–	–	–	(57)	–	(138)	–	3,446	(1,411)	2,035
– Buildings – specialised	37,626	(9,636)	27,990	–	–	(302)	(611)	137	(1,594)	–	36,008	(10,388)	25,620
– Other structures	6,890	(2,183)	4,707	85	474	–	(348)	96	–	222	7,898	(2,662)	5,236
– Roads	156,144	(21,954)	134,190	1,620	5,300	–	(2,048)	–	–	7,809	172,298	(25,427)	146,871
– Bridges	22,743	(5,420)	17,323	–	–	–	(221)	–	–	1,011	24,088	(5,975)	18,113
– Footpaths	2,890	(752)	2,138	–	302	–	(43)	–	–	124	3,363	(842)	2,521
– Stormwater drainage	1,718	(1,044)	674	–	–	–	(24)	–	–	50	1,850	(1,150)	700
– Water supply network	22,800	(9,358)	13,442	–	–	–	(472)	–	–	1,000	24,558	(10,588)	13,970
– Sewerage network	13,023	(5,576)	7,447	–	–	–	(279)	–	–	553	14,027	(6,306)	7,721
– Swimming pools	2,907	(1,209)	1,698	5	–	–	(71)	–	–	83	3,061	(1,346)	1,715
– Bulk earthworks – levee bank	6,127	(2,563)	3,564	–	–	–	(45)	–	–	208	6,489	(2,762)	3,727
– Airport	4,399	(1,853)	2,546	–	–	–	(61)	–	–	127	4,623	(2,011)	2,612
– Other open space/recreational assets	1,273	(147)	1,126	8	–	–	(26)	–	–	56	1,347	(183)	1,164
Total infrastructure, property, plant and equipment	296,660	(69,001)	227,659	1,718	7,826	(419)	(5,953)	–	(1,732)	11,614	319,885	(79,172)	240,713

(2) Renewals are defined as the replacement of existing assets (as opposed to the acquisition of new assets).

C1-7 Infrastructure, property, plant and equipment (continued)

Material accounting policy information

Infrastructure, property, plant and equipment are held at fair value. Independent comprehensive valuations are performed at least every five years, however the carrying amount of assets is assessed by Council at each reporting date to confirm that it is not materially different from current fair value.

Water and sewerage network assets are indexed at each reporting period in accordance with the Rates Reference Manual issued by NSW Department of Industry (DoI) – Water.

Depreciation

Land is not depreciated. Depreciation on other assets is calculated using the straight-line method to allocate their cost, net of their residual values, over their estimated useful lives as follows:

Plant and equipment	Years	Other equipment	Years
Office equipment	5 to 10	Playground equipment	5 to 15
Office furniture	10 to 20	Benches, seats etc.	10 to 20
Computer equipment	4		
Vehicles	5 to 8	Buildings	
Heavy plant/road making equipment	5 to 8	Buildings: masonry	50 to 100
Other plant and equipment	5 to 15	Buildings: other	20 to 40
Water and sewer assets		Stormwater assets	
Dams and reservoirs	80 to 100	Drains	80 to 100
Bores	20 to 40	Culverts	50 to 80
Reticulation pipes: PVC	70 to 80	Flood control structures	80 to 100
Reticulation pipes: other	25 to 75		
Pumps and telemetry	15 to 20		
Transportation assets		Other infrastructure assets	
Sealed roads: surface	20	Bulk earthworks	100
Sealed roads: structure	50	Swimming pools	5 to 60
Unsealed roads	20	Unsealed roads	20
Bridge: concrete	100	Other open space/recreational assets	20
Bridge: other	50	Other infrastructure	20
Road pavements	60		
Kerb, gutter and footpaths	40		

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each reporting date.

Land under roads

Land under roads is land under roadways and road reserves including land under footpaths, nature strips and median strips.

Council has elected not to recognise land under roads acquired before 1 July 2008. Land under roads acquired after 1 July 2008 is recognised in accordance with the IPPE accounting policy.

Crown reserves

Crown reserves under Council's care and control are recognised as assets of the Council. While ownership of the reserves remains with the Crown, Council retains operational control of the reserves and is responsible for their maintenance and use in accordance with the specific purposes to which the reserves are dedicated.

Improvements on Crown reserves are also recorded as assets, while maintenance costs incurred by Council and revenues relating to the reserves are recognised within Council's Income Statement.

C2 Leasing activities

C2-1 Council as a lessee

Council has leases over some assets including land and buildings. However, those leases are at below market value.

Leases at significantly below market value – concessionary / peppercorn leases

Council has a number of leases at significantly below market for land and buildings which are used for:

- workshop; and
- truckyard.

The leases are generally for 20 years and require payments of a maximum amount of \$3,000 per year. The use of the right-of-use asset is restricted by the lessors to specified community services which Council must provide, these services are detailed in the leases.

Council does not believe that any of the leases in place are individually material from a statement of financial position or performance perspective.

Material accounting policy information

Council has elected not to separate non-lease components from lease components for any class of asset and has accounted for payments as a single component.

The right-of-use asset is measured using the cost model where cost on initial recognition comprises: the lease liability, initial direct costs, prepaid lease payments, estimated cost of removal and restoration, less any lease incentives received. The right-of-use asset is depreciated over the lease term on a straight-line basis and assessed for impairment in accordance with the impairment of asset accounting policy.

The lease liability is initially recognised at the present value of the remaining lease payments at the commencement of the lease. The discount rate is the rate implicit in the lease, however where this cannot be readily determined then the Council's incremental borrowing rate for a similar term with similar security is used.

Exceptions to lease accounting

Council has applied the exceptions to lease accounting for both short-term leases (i.e. leases with a term of less than or equal to 12 months) and leases of low-value assets. Council recognises the payments associated with these leases as an expense on a straight-line basis over the lease term.

Leases at significantly below market value / Concessionary leases

Council has elected to measure the right of use asset arising from the concessionary leases at cost which is based on the associated lease liability at initial recognition.

C2-2 Council as a lessor

Operating leases

Council leases out a number of properties to community groups. This property is held to meet community service delivery objectives rather than to earn rental or for capital appreciation. These leases have been classified as operating leases for financial reporting purposes and the assets are included as IPP&E in the Statement of Financial Position.

The amounts recognised in the Income Statement relating to operating leases where Council is a lessor are shown below:

	2024 \$ '000	2023 \$ '000
(i) Assets held as property, plant and equipment		
Lease income (excluding variable lease payments not dependent on an index or rate)	138	143
Total income relating to operating leases for Council assets	138	143

C3 Liabilities of Council

C3-1 Payables

	2024 Current \$ '000	2024 Non-current \$ '000	2023 Current \$ '000	2023 Non-current \$ '000
Goods and services – operating expenditure	3,066	–	1,260	–
Goods and services – capital expenditure	733	–	171	–
PAYG Tax Instalments	95	–	91	–
Accrued expenses:				
– Salaries and wages	8	–	191	–
– Borrowings	–	–	3	–
Advances	–	51	–	51
Security bonds, deposits and retentions	45	–	43	–
ATO – net GST payable	130	–	–	–
Other	36	–	93	–
Total payables	4,113	51	1,852	51

Payables

Payables represent liabilities for goods and services provided to Council prior to the end of financial year that are unpaid. The amounts are unsecured and are usually paid within 30 days of recognition.

C3-2 Contract Liabilities

		2024 Current \$ '000	2024 Non-current \$ '000	2023 Current \$ '000	2023 Non-current \$ '000
	Notes				
Grants and contributions received in advance:					
Unexpended capital grants (to construct Council controlled assets)	(i)	5,400	—	3,322	—
Total grants received in advance		5,400	—	3,322	—
Total contract liabilities		5,400	—	3,322	—

Notes

(i) The funds received are under an enforceable contract which require Council to construct an identified asset which will be under Council's control on completion. The revenue is recognised as Council constructs the asset and the contract liability reflects the funding received which cannot yet be recognised as revenue. The revenue is expected to be recognised in the next 12 months.

(ii) The contract liability relates to grants received prior to the revenue recognition criteria in AASB 15 being satisfied since the performance obligations are ongoing.

Revenue recognised that was included in the contract liability balance at the beginning of the period

	2024 \$ '000	2023 \$ '000
Grants and contributions received in advance:		
Capital grants (to construct Council controlled assets)	3,322	3,766
Total revenue recognised that was included in the contract liability balance at the beginning of the period	3,322	3,766

Significant changes in contract liabilities

No significant changes year over year.

C3-3 Borrowings

	2024 Current \$ '000	2024 Non-current \$ '000	2023 Current \$ '000	2023 Non-current \$ '000
Loans – secured ¹	–	–	43	320
Total borrowings	–	–	43	320

(1) Loans are secured over the general rating income of Council.

Disclosures on liability interest rate risk exposures, fair value disclosures and security can be found in Note E1-1.

(a) Changes in liabilities arising from financing activities

	2023		Non-cash movements				2024
	Opening Balance \$ '000	Cash flows \$ '000	Acquisition \$ '000	Fair value changes \$ '000	Acquisition due to change in accounting policy \$ '000	Other non-cash movement \$ '000	Closing balance \$ '000
Loans – secured	363	(363)	–	–	–	–	–
Total liabilities from financing activities	363	(363)	–	–	–	–	–

	2022		Non-cash movements				2023
	Opening Balance \$ '000	Cash flows \$ '000	Acquisition \$ '000	Fair value changes \$ '000	Acquisition due to change in accounting policy \$ '000	Other non-cash movement \$ '000	Closing balance \$ '000
Loans – secured	1,409	(1,046)	–	–	–	–	363
Total liabilities from financing activities	1,409	(1,046)	–	–	–	–	363

C3-3 Borrowings (continued)

(b) Financing arrangements

	2024 \$ '000	2023 \$ '000
Total facilities		
Total financing facilities available to Council at the reporting date are:		
Credit cards/purchase cards	40	25
Total financing arrangements	40	25
Drawn facilities		
Financing facilities drawn down at the reporting date are:		
Undrawn facilities		
Undrawn financing facilities available to Council at the reporting date are:		
– Credit cards/purchase cards	39	18
Total undrawn financing arrangements	39	18

Breaches and defaults

During the current and prior year, there were no defaults or breaches on any of the loans.

C3-4 Employee benefit provisions

	2024 Current \$ '000	2024 Non-current \$ '000	2023 Current \$ '000	2023 Non-current \$ '000
Annual leave	486	–	324	–
Long service leave	804	89	733	31
Other leave – RDO	79	–	36	–
Total employee benefit provisions	1,369	89	1,093	31

Current employee benefit provisions not anticipated to be settled within the next twelve months

	2024 \$ '000	2023 \$ '000
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The following provisions, even though classified as current, are not expected to be settled in the next 12 months.

Provisions – employees benefits	665	489
	665	489

Material accounting policy information

Long-term employee benefit obligations

The liability for long-service leave and annual leave that is not expected to be wholly settled within 12 months after the end of the period in which the employees render the related service is recognised in the provision for employee benefits and measured as the present value of expected future payments to be made in respect of services provided by employees up to the end of the reporting period using the projected unit credit method. Consideration is given to expected future wage and salary levels, experience of employee departures, and periods of service. Expected future payments are discounted using market yields at the end of the reporting period on national government bonds with terms to maturity and currency that match, as closely as possible, the estimated future cash outflows.

C4 Reserves

C4-1 Nature and purpose of reserves

IPPE Revaluation reserve

The infrastructure, property, plant and equipment (IPPE) revaluation reserve is used to record increments and decrements in the revaluation of infrastructure, property, plant and equipment.

D Council structure

D1 Results by fund

General fund refers to all Council activities other than water and sewer. All amounts disclosed in this note are gross i.e. inclusive of internal charges and recoveries made between the funds. Assets and liabilities shown in the water and sewer columns are restricted for use for these activities.

D1-1 Income Statement by fund

	General 2024 \$ '000	Water 2024 \$ '000	Sewer 2024 \$ '000
Income from continuing operations			
Rates and annual charges	1,374	805	512
User charges and fees	5,638	436	–
Interest and investment revenue	813	136	71
Other revenues	339	–	–
Grants and contributions provided for operating purposes	15,245	–	–
Grants and contributions provided for capital purposes	5,996	–	–
Other income	138	–	–
Total income from continuing operations	29,543	1,377	583
Expenses from continuing operations			
Employee benefits and on-costs	6,196	289	140
Materials and services	12,672	437	145
Borrowing costs	10	–	–
Depreciation, amortisation and impairment of non-financial assets	5,190	513	207
Other expenses	(110)	404	162
Net losses from the disposal of assets	110	–	–
Total expenses from continuing operations	24,068	1,643	654
Operating result from continuing operations	5,475	(266)	(71)
Net operating result for the year	5,475	(266)	(71)
Net operating result attributable to each council fund	5,475	(266)	(71)
Net operating result for the year before grants and contributions provided for capital purposes	(521)	(266)	(71)

D1-2 Statement of Financial Position by fund

	General 2024 \$ '000	Water 2024 \$ '000	Sewer 2024 \$ '000
ASSETS			
Current assets			
Cash and cash equivalents	20,698	1,848	1,273
Investments	3,000	—	—
Receivables	10,276	348	76
Inventories	284	—	—
Contract assets and contract cost assets	956	—	—
Other	45	—	—
Total current assets	35,259	2,196	1,349
Non-current assets			
Infrastructure, property, plant and equipment	229,147	14,992	8,689
Total non-current assets	229,147	14,992	8,689
Total assets	264,406	17,188	10,038
LIABILITIES			
Current liabilities			
Payables	4,077	36	—
Contract liabilities	5,355	—	45
Employee benefit provision	1,369	—	—
Total current liabilities	10,801	36	45
Non-current liabilities			
Payables	51	—	—
Employee benefit provision	89	—	—
Total non-current liabilities	140	—	—
Total liabilities	10,941	36	45
Net assets	253,465	17,152	9,993
EQUITY			
Accumulated surplus	175,346	2,338	654
Revaluation reserves	78,119	14,814	9,339
Council equity interest	253,465	17,152	9,993
Total equity	253,465	17,152	9,993

E Risks and accounting uncertainties

E1-1 Risks relating to financial instruments held

Council's overall risk management program focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the financial performance of Council.

Council's objective is to maximise its return on cash and investments while maintaining an adequate level of liquidity and preserving capital. The finance team manage the cash and investments portfolio with the assistance of independent advisers. Council has an investment policy which complies with s 625 of the Act and the Ministerial Investment Order. The policy is regularly reviewed by Council and a monthly investment report is provided to Council setting out the make-up and performance of the portfolio as required by local government regulations.

Council does not engage in transactions expressed in foreign currencies and is therefore not subject to foreign currency risk.

Financial risk management is carried out by the finance team under policies approved by the Councillors.

The fair value of receivables, loans, investments and financial liabilities approximates the carrying amount. The risks associated with the financial instruments held are:

- interest rate risk – the risk that movements in interest rates could affect returns
- liquidity risk – the risk that Council will not be able to pay its debts as and when they fall due
- credit risk – the risk that a contracting entity will not complete its obligations under a financial instrument resulting in a financial loss to the Council.

Council manages these risks by diversifying its portfolio and only purchasing investments with high credit ratings or capital guarantees.

(a) Market risk – interest rate and price risk

	2024 \$ '000	2023 \$ '000
The impact on result for the year and equity of a reasonably possible movement in the price of investments held and interest rates is shown below. The reasonably possible movements were determined based on historical movements and economic conditions in place at the reporting date.		
Impact of a 1% movement in interest rates		
– Equity / Income Statement	268	189

E1-1 Risks relating to financial instruments held (continued)

(b) Credit risk

Council's major receivables comprise (i) rates and annual charges and (ii) user charges and fees.

Council manages the credit risk associated with these receivables by monitoring outstanding debt and employing stringent debt recovery procedures. Council also encourages ratepayers to pay their rates by the due date through incentives.

The credit risk for liquid funds and other short-term financial assets is considered negligible, since the counterparties are reputable banks with high quality external credit ratings.

There are no significant concentrations of credit risk, whether through exposure to individual customers, specific industry sectors and/or regions.

The level of outstanding receivables is reported to Council monthly and benchmarks are set and monitored for acceptable collection performance.

Council makes suitable provision for doubtful receivables as required and carries out credit checks on most non-rate debtors.

There are no material receivables that have been subjected to a re-negotiation of repayment terms.

Credit risk profile

Receivables – rates and annual charges

Credit risk on rates and annual charges is minimised by the ability of Council to recover these debts as a secured charge over the land; that is, the land can be sold to recover the debt. Council is also able to charge interest on overdue rates and annual charges at higher than market rates which further encourages payment.

	Not yet overdue \$ '000	overdue rates and annual charges < 5 years \$ '000	≥ 5 years \$ '000	Total \$ '000
2024				
Gross carrying amount	–	477	173	650
Expected loss rate (%)	0.00%	74.00%	100.00%	0.00%
ECL provision	–	351	173	524
2023				
Gross carrying amount	–	473	118	591
Expected loss rate (%)	0.00%	70.00%	100.00%	53.00%
ECL provision	–	332	118	450

Receivables - non-rates and annual charges

Council applies the simplified approach for non-rates debtors to provide for expected credit losses prescribed by AASB 9, which permits the use of the lifetime expected loss provision. To measure the expected credit losses, non-rates and annual charges debtors have been grouped based on shared credit risk characteristics and the days past due. The loss allowance provision as at 30 June 2024 is determined as follows. The expected credit losses incorporate forward-looking information.

	Not yet overdue \$ '000	0 - 30 days \$ '000	31 - 60 days \$ '000	61 - 90 days \$ '000	> 91 days \$ '000	Total \$ '000
2024						
Gross carrying amount	10,292	591	32	656	306	11,877
Expected loss rate (%)	0.00%	3.47%	7.00%	17.00%	70.00%	2.93%
ECL provision	–	21	2	111	213	347
2023						
Gross carrying amount	7,340	3,174	–	255	–	10,769
Expected loss rate (%)	0.00%	3.47%	7.00%	52.95%	100.00%	2.28%
ECL provision	–	110	–	135	–	245

E1-1 Risks relating to financial instruments held (continued)

(c) Liquidity risk

Payables, lease liabilities and borrowings are both subject to liquidity risk; that is, the risk that insufficient funds may be on hand to meet payment obligations as and when they fall due.

Council manages this risk by monitoring its cash flow requirements and liquidity levels, and by maintaining an adequate cash buffer. Payment terms can be extended, and overdraft facilities drawn upon in extenuating circumstances.

Borrowings are also subject to interest rate risk: the risk that movements in interest rates could adversely affect funding costs. Council manages this risk through diversification of borrowing types, maturities and interest rate structures.

The finance team regularly reviews interest rate movements to determine if it would be advantageous to refinance or renegotiate part or all of the loan portfolio.

The timing of cash flows presented in the table below to settle financial liabilities reflects the earliest contractual settlement dates. The timing of expected outflows is not expected to be materially different from contracted cashflows.

The amounts disclosed in the table are the undiscounted contracted cash flows for non-lease liabilities (refer to Note C2-1(b) for lease liabilities) and therefore the balances in the table may not equal the balances in the Statement of Financial Position due to the effect of discounting.

	Weighted average interest rate %	Subject to no maturity \$ '000	payable in: ≤ 1 Year \$ '000	1 - 5 Years \$ '000	> 5 Years \$ '000	Total cash outflows \$ '000	Actual carrying values \$ '000
2024							
Payables	0.00%	45	4,068	51	–	4,164	4,164
Total financial liabilities		45	4,068	51	–	4,164	4,164
2023							
Payables	0.00%	43	1,809	51	–	1,903	1,903
Borrowings	3.75%	–	57	320	–	377	363
Total financial liabilities		43	1,866	371	–	2,280	2,266

E2-1 Fair value measurement

The Council measures the following asset and liability classes at fair value on a recurring basis:

- Infrastructure, property, plant and equipment
- Financial assets and liabilities

The fair value of assets and liabilities must be estimated in accordance with various accounting standards for either recognition and measurement requirements or for disclosure purposes.

AASB 13 Fair Value Measurement requires all assets and liabilities measured at fair value to be assigned to a 'level' in the fair value hierarchy as follows:

Level 1: Unadjusted quoted prices in active markets for identical assets or liabilities that the entity can access at the measurement date.

Level 2: Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Fair value measurement hierarchy									
\$ '000	Notes	Date of latest valuation		Level 2 Significant observable inputs		Level 3 Significant unobservable inputs		Total	
		2024	2023	2024	2023	2024	2023	2024	2023
Infrastructure, property, plant and equipment	C1-7								
Plant and equipment		30/06/20	30/06/20	–	–	4,073	4,992	4,073	4,992
Office equipment		30/06/20	30/06/20	–	–	139	136	139	136
Furniture and fittings		30/06/20	30/06/20	–	–	10	15	10	15
Operational land		30/06/23	30/06/23	–	–	2,097	1,869	2,097	1,869
Community land		30/06/23	30/06/23	–	–	397	362	397	362
Buildings – non-specialised		30/06/23	30/06/23	2,105	2,035	–	–	2,105	2,035
Buildings – specialised		30/06/23	30/06/23	–	–	26,829	25,620	26,829	25,620
Other structures		30/06/21	30/06/21	–	–	5,147	5,236	5,147	5,236
Roads		30/06/20	30/06/20	–	–	151,067	146,871	151,067	146,871
Bridges		30/06/20	30/06/20	–	–	18,831	18,113	18,831	18,113
Footpaths		30/06/20	30/06/20	–	–	3,009	2,521	3,009	2,521
Bulk earthworks – Levee banks		30/06/20	30/06/20	–	–	3,877	3,727	3,877	3,727
Stormwater drainage		30/06/20	30/06/20	–	–	708	700	708	700
Water supply network		30/06/22	30/06/22	–	–	14,247	13,970	14,247	13,970
Sewerage network		30/06/22	30/06/22	–	–	8,539	7,721	8,539	7,721
Swimming pools		30/06/21	30/06/21	–	–	1,732	1,715	1,732	1,715
Other open spaces/recreational assets		30/06/21	30/06/21	–	–	1,174	1,164	1,174	1,164
Airports		30/06/20	30/06/20	–	–	2,631	2,612	2,631	2,612
Total infrastructure, property, plant and equipment				2,105	2,035	244,507	237,344	246,612	239,379

Valuation techniques

Where Council is unable to derive fair valuations using quoted market prices of identical assets (ie. level 1 inputs) Council instead utilises a spread of both observable inputs (level 2 inputs) and unobservable inputs (level 3 inputs).

The fair valuation techniques Council has employed while utilising level 2 and level 3 inputs are as follows:

Infrastructure, property, plant and equipment (IPPE)

There has been no change in valuation techniques during the reporting period.

The values of Plant and Equipment, Office Equipment, and Furniture and Fittings have been disclosed at cost due to the nature of these assets.

E2-1 Fair value measurement (continued)

All buildings and other structures were valued by an external registered valuer on the basis of fair value. The values include normal fixtures and fittings, internal finishes, electrical and mechanical services, fire / security, transportation, and roofing. The specialised buildings and other structures have no active market and have been classified as Level 3.

Roads, comprising roadway, roadside shoulders, kerb and guttering, have been valued on a rolling basis by Council's engineer on a fair value basis. This group has been classified as level 3 as market based evidence could not be supported.

Bridges, Footpaths, Stormwater Drainage, Levee Banks, Swimming Pools, Open Space and Recreation Assets, and Airports have all been externally valued on a fair value basis. As market based evidence was unable to be supported for these categories they have all been classified as level 3.

Water Supply Network and Sewerage Services Network have been externally valued by a qualified independent valuer on a fair value basis. They are classified as level 3 as market evidence was not supported. These assets have been indexed annually at an indexation rate supplied by the Department of Planning, Industry and Environment – Water.

Fair value measurements using significant unobservable inputs (level 3)

For changes in Level 3 input fair value asset classes refer to Note C1-7.

There were no transfers into or out of the Level 3 fair valuation hierarchy.

Valuation process and significant unobservable valuation inputs used (for level 2 and 3 fair value hierarchy asset classes)

Land - Values were determined with reference to the NSW Valuer General's 2022 land valuation.

All Other Level 2 and 3 Asset Classes

Where there was an active and liquid market as evidenced by sales transactions of similar property types, a Market Approach by way of Direct Comparison, Income Capitalisation or Summation methods was utilised.

These are accepted valuation methodologies under AASB 13. If a Market Approach is adopted, the building valuation is deemed to be a Level 2 input.

Direct comparison and summation methods involve analysis of sales evidence and comparisons with the subject taking into account matters such as method of construction, size, condition, age, land area and location. The land value is subtracted from the Market Value of the property to measure the building asset Fair Value.

For those assets not assessed under a Market Approach due to their predominantly specialised nature, a Current Replacement Cost (CRC) approach to valuation has been adopted, being an accepted valuation methodology under AASB 13. The CRC approach is deemed Level 3 methodology on the Fair Value Hierarchy.

Where there is no depth of market, as determined for the specified Brewarrina Shire Council assets, the net current value of an asset is the gross current value less accumulated depreciation to reflect the consumed or expired service potential of the asset.

Under this approach, the following process is adopted:

- Published/available market data for recent projects, and/or published cost guides are utilised to determine the estimated replacement cost (gross value) of the asset, including allowances for preliminaries and professional fees. This is considered a Level 2 input.
- A condition assessment is applied, which is based on factors such as the age of the asset, overall condition as noted by the Valuer during inspection, economic and/or functional obsolescence. The condition assessment directly translates to the level of depreciation applied. The conditions assessed are considered a Level 3 input.
- While the replacement cost of the assets could be supported by market supplied evidence (level 2), other unobservable inputs (such as estimates of residual value, useful life, asset condition) were also required (level 3).

To calculate the appropriate amount of accumulated depreciation, assets were either subject to a site inspection or an assessment to determine remaining useful life. Where site inspections were conducted (i.e. for visible aboveground assets), the assets were allocated a condition assessment, which was used to estimate remaining useful life.

Where site inspections were not conducted (i.e. for passive assets and active assets for which no site inspections were undertaken), the remaining useful life was calculated on asset age and estimated useful life.

E2-1 Fair value measurement (continued)

The valuation techniques used in the determination of fair values maximise the use of observable data where it is available and relies as little as possible on entity specifics. The disclosure of valuation estimates is designed to provide users with an insight into the judgements that have been made in the determination of fair values.

Infrastructure - Calculation of Current Replacement Cost

Water and Sewerage Infrastructure

The water assets were segregated into Systems; Reticulation, Raw Supply, Potable Storage, and Treatment assets; reticulation assets were not further componentised and consisted of mains, hydrants, stop valves and water meters. Other asset systems were componentised based on usage profile. Unit rates were applied based on similar recent project costs, unit rate databases, indices, Rawlinson's Construction rates and quotations.

The remaining system assets consisted of treatment, pumping and storage assets. These assets were componentised and valued individually, with allowances for complexity, size, function and site factors. These are generally totalled to a lump sum item and compared against recent similar projects and in-house databases to check for relativity, appropriateness and sensibility.

Location factors, soil type, weather conditions, raw material access and service level standards were assumed to be uniform across the council area.

Unit rates were increased depending on project complexity to allow for project overheads including survey, environmental and investigation costs, engineering design, planning and project management.

Road Infrastructure

The Roads infrastructure assets were classified as passive assets; passive assets were further componentised and consisted of Formation, Pavement and Seal for roads assets. Unit rates were applied based on similar recent project costs, unit rate databases, indices, Rawlinson's Construction rates and quotations.

Roads were segmented based on the main roads standard, these are categorised as Formed, Unformed and then further by sealed and unsealed types.

The Current Replacement Cost was calculated by reference to asset length and width for Formation and Seal and Depth for Pavements. Location Factors, soil type, weather conditions, raw material access and service level standards were assumed to be uniform across the council area.

Valuation Processes

Council's valuation policies and procedures are set out by the leadership team which comprises the General Manager, Finance and Admin Manager, and the Transport Manager. They are reviewed annually taking into consideration an analysis of movements in fair value and other relevant information. Non-recurring fair value measurements are made at the point of reclassification by a registered valuer.

Highest and best use

All of Council's non-financial assets are considered as being utilised for their highest and best use.

E3-1 Contingencies

The following assets and liabilities do not qualify for recognition in the Statement of Financial Position, but their knowledge and disclosure is considered relevant to the users of Council's financial report.

LIABILITIES NOT RECOGNISED

1. Guarantees

(i) Defined benefit superannuation contribution plans

Council is party to an Industry Defined Benefit Plan under the Local Government Superannuation Scheme, named The Local Government Superannuation Scheme – Pool B (the Scheme) which is a defined benefit plan that has been deemed to be a 'multi-employer fund' for purposes of AASB119 Employee Benefits for the following reasons:

- Assets are not segregated within the sub-group according to the employees of each sponsoring employer.
- The contribution rates have been the same for all sponsoring employers. That is, contribution rates have not varied for each sponsoring employer according to the experience relating to the employees of that sponsoring employer.
- Benefits for employees of all sponsoring employers are determined according to the same formulae and without regard to the sponsoring employer.
- The same actuarial assumptions are currently used in respect of the employees of each sponsoring employer.

Given the factors above, each sponsoring employer is exposed to the actuarial risks associated with current and former employees of other sponsoring employers, and hence shares in the associated gains and losses (to the extent that they are not borne by members).

Description of the funding arrangements.

Pooled Employers are required to pay future service employer contributions and past service employer contributions to the Fund.

The future service employer contributions were determined using the new entrant rate method under which a contribution rate sufficient to fund the total benefits over the working life-time of a typical new entrant is calculated. The current future service employer contribution rates are::

Division B	1.9 times member contributions for non-180 Point Members; Nil for 180 Point Members*
Division C	2.5% salaries
Division D	1.64 times member contributions

* For 180 Point Members, Employers are required to contribute 8.5% of salaries for the year ending 30 June 2024 (increasing to 9.0% in line with the increase in the Superannuation Guarantee) to these members' accumulation accounts, which are paid in addition to members' defined benefits.

The past service contribution for each Pooled Employer is a share of the total past service contributions of \$20.0 million for 1 July 2022 to 31 December 2024, apportioned according to each employer's share of the accrued liabilities as at 30 June 2023. These past service contributions are used to maintain the adequacy of the funding position for the accrued liabilities.

The adequacy of contributions is assessed at each triennial actuarial investigation, the next of which is due effective 30 June 2024, and monitored annually between triennials.

Description of the extent to which Council can be liable to the plan for other Council's obligations under the terms and conditions of the multi-employer plan

As stated above, each sponsoring employer (Council) is exposed to the actuarial risks associated with current and former employees of other sponsoring employers and hence shares in the associated gains and losses.

However, there is no relief under the Fund's trust deed for employers to walk away from their defined benefit obligations. Under limited circumstances, an employer may withdraw from the plan when there are no active members, on full payment of outstanding additional contributions. There is no provision for allocation of any surplus which may be present at the date of withdrawal of the Council.

There are no specific provisions under the Fund's trust deed dealing with deficits or surplus on wind-up.

There is no provision for allocation of any surplus which may be present at the date of withdrawal of an employer.

E3-1 Contingencies (continued)

The amount of Council contributions to the defined benefit section of the Local Government Superannuation Scheme and recognised as an expense for the year ending 30 June 2024 was \$7,070.95. The last valuation of the Scheme was performed by fund actuary, Richard Boyfield, FIAA as at 30 June 2023.

The amount of additional contributions included in the total employer contribution advised above is \$2,859.86. Council's expected contribution to the plan for the next annual reporting period is \$7,334.06.

The estimated employer reserves financial position for the Pooled Employers at 30 June 2024 is:

Employer reserves only *	\$millions	Asset Coverage
Assets	2,237.5	
Past Service Liabilities	2,141.9	104.5%
Vested Benefits	2,159.8	103.6%

* excluding member accounts and reserves in both assets and liabilities.

The share of any funding surplus or deficit that can be attributed to Council is 0.03%

Council's share of that deficiency cannot be accurately calculated as the Scheme is a mutual arrangement where assets and liabilities are pooled together for all member councils. For this reason, no liability for the deficiency has been recognised in Council's accounts. Council has a possible obligation that may arise should the Scheme require immediate payment to correct the deficiency.

The key economic long term assumptions used to calculate the present value of accrued benefits are:

Investment return	6.0% per annum
Salary inflation	3.5% per annum
Increase in CPI	3.5% for FY 23/24 2.5% per annum thereafter

The contribution requirements may vary from the current rates if the overall sub-group experience is not in line with the actuarial assumptions in determining the funding program; however, any adjustment to the funding program would be the same for all sponsoring employers in the Pooled Employers group.

Please note that the estimated employer reserves financial position above is a preliminary calculation, and once all the relevant information has been received by the Funds Actuary, the final end of year review, which will be a triennial actuarial investigation will be completed by December 2024.

(ii) Statewide Limited

Council is a member of Statewide Mutual, a mutual pool scheme providing liability insurance to local government.

Membership includes the potential to share in either the net assets or liabilities of the fund depending on its past performance. Council's share of the net assets or liabilities reflects Council's contributions to the pool and the result of insurance claims within each of the fund years.

The future realisation and finalisation of claims incurred but not reported to 30 June this year may result in future liabilities or benefits as a result of past events that Council will be required to fund or share in respectively.

(iii) StateCover Limited

Council is a member of StateCover Mutual Limited and holds a partly paid share in the entity.

StateCover is a company providing workers compensation insurance cover to the NSW local government industry and specifically Council.

Council has a contingent liability to contribute further equity in the event of the erosion of the company's capital base as a result of the company's past performance and/or claims experience or as a result of any increased prudential requirements from APRA.

These future equity contributions would be required to maintain the company's minimum level of net assets in accordance with its licence requirements.

E3-1 Contingencies (continued)

(iv) Other guarantees

Council has provided no other guarantees other than those listed above.

2. Other liabilities

(i) Third party claims

The Council is involved from time to time in various claims incidental to the ordinary course of business including claims for damages relating to its services.

Council believes that it is appropriately covered for all claims through its insurance coverage and does not expect any material liabilities to eventuate.

(ii) Potential land acquisitions due to planning restrictions imposed by Council

Council has classified a number of privately owned land parcels as local open space or bushland.

As a result, where notified in writing by the various owners, Council will be required to purchase these land parcels.

At reporting date, reliable estimates as to the value of any potential liability (and subsequent land asset) from such potential acquisitions has not been possible.

ASSETS NOT RECOGNISED

(i) Land under roads

As permitted under AASB 1051, Council has elected not to bring to account land under roads that it owned or controlled up to and including 30/6/08.

F People and relationships

F1 Related party disclosures

F1-1 Key management personnel (KMP)

Key management personnel (KMP) of the council are those persons having the authority and responsibility for planning, directing and controlling the activities of the council, directly or indirectly.

The aggregate amount of KMP compensation included in the Income Statement is:

	2024 \$ '000	2023 \$ '000
Compensation:		
Short-term benefits	980	765
Post-employment benefits	84	64
Other long-term benefits	16	25
Total	1,080	854

Other transactions with KMP and their related parties

Council has determined that transactions at arm's length between KMP and Council as part of Council delivering a public service objective (e.g. access to library or Council swimming pool by KMP) will not be disclosed.

Other specific transactions are detailed below.

Nature of the transaction	Ref	Transactions during the year \$ '000	Outstanding balances including commitments \$ '000	Terms and conditions
2024				
Supply of Materials & Services	1	692	–	30-day term on invoice
Employee expenses relating to close family members of KMP	2	144	–	Council Staff Award

F1-1 Key management personnel (KMP) (continued)

Nature of the transaction	Ref	Transactions during the year \$ '000	Outstanding balances including commitments \$ '000	Terms and conditions
2023				
Supply of Materials & Services	1	1,315	—	30-day term on invoice
Employee expenses relating to close family members of KMP	2	48	—	Council Staff Award

1

Council purchased materials and services from:

- Services from Barwon Livestock Pty Ltd owned by the close family member of KMP of the council. The total payment is \$646,892.
- Holz Trade Service Pty owned by the council's KMP. Total payment value is \$44,162.
- Services from First Linguists PTY LTD owned by the close family member of the council's KMP. Total payment value is \$500.

2 Close family members of Council's KMP are employed by the council under the state award on an arm's length basis. There are 2 close family members of KMP currently employed by the council.

F1-2 Councillor and Mayoral fees and associated expenses

	2024 \$ '000	2023 \$ '000
The aggregate amount of Councillor and Mayoral fees and associated expenses included in materials and services expenses in the Income Statement are:		
Mayoral fee	21	23
Councillors' fees	123	114
Other Councillors' expenses (including Mayor)	29	22
Total	173	159

F2 Other relationships

F2-1 Audit fees

	2024 \$ '000	2023 \$ '000
During the year, the following fees were incurred for services provided by the auditor of Council, related practices and non-related audit firms		
Auditors of the Council - NSW Auditor-General:		
(i) Audit and other assurance services		
Audit and review of financial statements	86	73
Remuneration for audit and other assurance services	86	73
Total audit fees	86	73

G Other matters

G1-1 Statement of Cash Flows information

Reconciliation of Operating Result

	2024 \$ '000	2023 \$ '000
Net operating result from Income Statement	5,138	9,419
Add / (less) non-cash items:		
Depreciation and amortisation	5,910	5,658
(Gain) / loss on disposal of assets	110	(199)
Non-cash capital grants and contributions	(104)	–
Movements in operating assets and liabilities and other cash items:		
(Increase) / decrease of receivables	(4,816)	(396)
Increase / (decrease) in provision for impairment of receivables	176	99
(Increase) / decrease of inventories	59	(141)
(Increase) / decrease of other current assets	(22)	3
(Increase) / decrease of contract asset	3,649	(6,678)
Increase / (decrease) in payables	1,806	1,050
Increase / (decrease) in accrued interest payable	(3)	(1)
Increase / (decrease) in other accrued expenses payable	(183)	16
Increase / (decrease) in other liabilities	79	(245)
Increase / (decrease) in contract liabilities	2,078	(444)
Increase / (decrease) in employee benefit provision	334	(52)
Net cash flows from operating activities	14,211	8,089

G2-1 Commitments

Capital commitments (exclusive of GST)

	2024 \$ '000	2023 \$ '000
--	-----------------	-----------------

Capital expenditure committed for at the reporting date but not recognised in the financial statements as liabilities:

Property, plant and equipment

Plant and equipment	47	264
Other Structures	212	—
Road infrastructure	6	323
Total commitments	265	587

These expenditures are payable as follows:

Within the next year	265	587
Total payable	265	587

Sources for funding of capital commitments:

Unrestricted general funds	265	587
Total sources of funding	265	587

G3-1 Events occurring after the reporting date

Council is unaware of any material or significant non-adjusting events that should be disclosed.

G4 Statement of performance measures

G4-1 Statement of performance measures – consolidated results

\$ '000	Amounts 2024	Indicator 2024	Indicators 2023 2022		Benchmark
1. Operating performance ratio					
Total continuing operating revenue excluding capital grants and contributions less operating expenses ^{1, 2}	(748)	(2.93)%	17.56%	5.76%	> 0.00%
Total continuing operating revenue excluding capital grants and contributions ¹	25,507				
2. Own source operating revenue ratio					
Total continuing operating revenue excluding all grants and contributions ¹	10,262	32.57%	33.53%	9.76%	> 60.00%
Total continuing operating revenue ¹	31,503				
3. Unrestricted current ratio					
Current assets less all external restrictions	23,092	5.26x	7.70x	9.96x	> 1.50x
Current liabilities less specific purpose liabilities	4,393				
4. Debt service cover ratio					
Operating result before capital excluding interest and depreciation/impairment/amortisation ¹	5,172	13.87x	9.42x	20.47x	> 2.00x
Principal repayments (Statement of Cash Flows) plus borrowing costs (Income Statement)	373				
5. Rates and annual charges outstanding percentage					
Rates and annual charges outstanding	150	5.02%	8.31%	6.02%	< 5.00%
Rates and annual charges collectable	2,988				
6. Cash expense cover ratio					
Current year's cash and cash equivalents plus all term deposits	23,819	14.06 months	14.04 months	26.08 months	> 3.00 months
Monthly payments from cash flow of operating and financing activities	1,694				

(1) Excludes fair value increments on investment properties, reversal of revaluation decrements, reversal of impairment losses on receivables, net gain on sale of assets and net share of interests in joint ventures and associates using the equity method and includes pensioner rate subsidies

(2) Excludes impairment/revaluation decrements of IPPE, fair value decrements on investment properties, net loss on disposal of assets and net loss on share of interests in joint ventures and associates using the equity method

G4-2 Statement of performance measures by fund

\$ '000	General Indicators ³		Water Indicators		Sewer Indicators		Benchmark
	2024	2023	2024	2023	2024	2023	
1. Operating performance ratio							
Total continuing operating revenue excluding capital grants and contributions less operating expenses ^{1, 2}	(1.58)%	20.86%	(13.36)%	(26.15)%	(2.74)%	(22.50)%	> 0.00%
Total continuing operating revenue excluding capital grants and contributions ¹							
2. Own source operating revenue ratio							
Total continuing operating revenue excluding capital grants and contributions ¹	28.10%	29.68%	100.00%	100.00%	100.00%	99.12%	> 60.00%
Total continuing operating revenue ¹							
3. Unrestricted current ratio							
Current assets less all external restrictions	5.26x	7.70x	61.00x	409.17x	29.98x	52.35x	> 1.50x
Current liabilities less specific purpose liabilities							
4. Debt service cover ratio							
Operating result before capital excluding interest and depreciation/impairment/amortisation ¹	13.31x	9.42x	∞	7.25x	∞	∞	> 2.00x
Principal repayments (Statement of Cash Flows) plus borrowing costs (Income Statement)							
5. Rates and annual charges outstanding percentage							
Rates and annual charges outstanding	2.65%	6.44%	8.03%	10.41%	7.52%	10.76%	< 5.00%
Rates and annual charges collectable							
6. Cash expense cover ratio							
Current year's cash and cash equivalents plus all term deposits	13.19 months	12.75 months	20.90 months	28.35 months	35.61 months	29.10 months	> 3.00 months
Monthly payments from cash flow of operating and financing activities							

(1) - (2) Refer to Notes at Note G5-1 above.

(3) General fund refers to all of Council's activities except for its water and sewer activities which are listed separately.

End of the audited financial statements



INDEPENDENT AUDITOR'S REPORT

Report on the general purpose financial statements

Brewarrina Shire Council

To the Councillors of Brewarrina Shire Council

Opinion

I have audited the accompanying financial statements of Brewarrina Shire Council (the Council), which comprise the Statement by Councillors and Management, the Income Statement and Statement of Comprehensive Income for the year ended 30 June 2024, the Statement of Financial Position as at 30 June 2024, the Statement of Changes in Equity and Statement of Cash Flows for the year then ended, and notes to the financial statements, including material accounting policy information and other explanatory information.

In my opinion:

- the Council's accounting records have been kept in accordance with the requirements of the *Local Government Act 1993*, Chapter 13, Part 3, Division 2 (the Division)
- the financial statements:
 - have been prepared, in all material respects, in accordance with the requirements of this Division
 - are consistent with the Council's accounting records
 - present fairly, in all material respects, the financial position of the Council as at 30 June 2024, and of its financial performance and its cash flows for the year then ended in accordance with Australian Accounting Standards
- all information relevant to the conduct of the audit has been obtained
- no material deficiencies in the accounting records or financial statements have come to light during the audit.

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I have fulfilled my other ethical responsibilities in accordance with APES 110.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Other Information

The Council's annual report for the year ended 30 June 2024 includes other information in addition to the financial statements and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the special purpose financial statements and Special Schedules (the Schedules).

My opinion on the financial statements does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the special purpose financial statements and Special Schedule - Permissible income for general rates.

In connection with my audit of the financial statements, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Financial Statements

The Councillors are responsible for the preparation and fair presentation of the financial statements in accordance with Australian Accounting Standards and the *Local Government Act 1993* and for such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to:

- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial statements.

A description of my responsibilities for the audit of the financial statements is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar4.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- on the Original Budget information included in the Income Statement, Statement of Cash Flows, and Note B5-1 'Material budget variations
- on the Special Schedules. A separate opinion has been provided on Special Schedule - Permissible income for general rates
- about the security and controls over the electronic publication of the audited financial statements on any website where they may be presented
- about any other information which may have been hyperlinked to/from the financial statements.



Hong Wee Soh
Delegate of the Auditor-General for New South Wales

24 October 2024
SYDNEY



Cr Tommy Stanton
Mayor
Brewarrina Council
PO Box 125
BREWARRINA NSW 2839

Contact: Hong Wee Soh
Phone no: 02 9275 7397
Our ref: R008-2124742775-7854

24 October 2024

Dear Mayor

**Report on the Conduct of the Audit
for the year ended 30 June 2024
Brewarrina Shire Council**

I have audited the general purpose financial statements (GPFS) of the Brewarrina Shire Council (the Council) for the year ended 30 June 2024 as required by section 415 of the *Local Government Act 1993* (the Act).

I expressed an unmodified opinion on the Council's GPFS.

This Report on the Conduct of the Audit (the Report) for the Council for the year ended 30 June 2024 is issued in accordance with section 417 of the Act. This Report should be read in conjunction with my audit opinion on the GPFS issued under section 417(2) of the Act.

INCOME STATEMENT

Operating result

	2024	2023	Variance
	\$m	\$m	%
Rates and annual charges revenue	2.69	2.62	↑ 2.7
Grants and contributions revenue	21.24	20.77	↑ 2.3
Operating result from continuing operations	5.14	9.42	↓ 45.4
Net operating result before capital grants and contributions	(0.86)	4.90	↓ 117.6

Rates and annual charges revenue (\$2.69 million) increased by \$0.07 million (2.7 per cent) in 2023–2024.

Grants and contributions revenue (\$21.24 million) increased by \$0.47 million (2.3 per cent) in 2023–2024 due to:

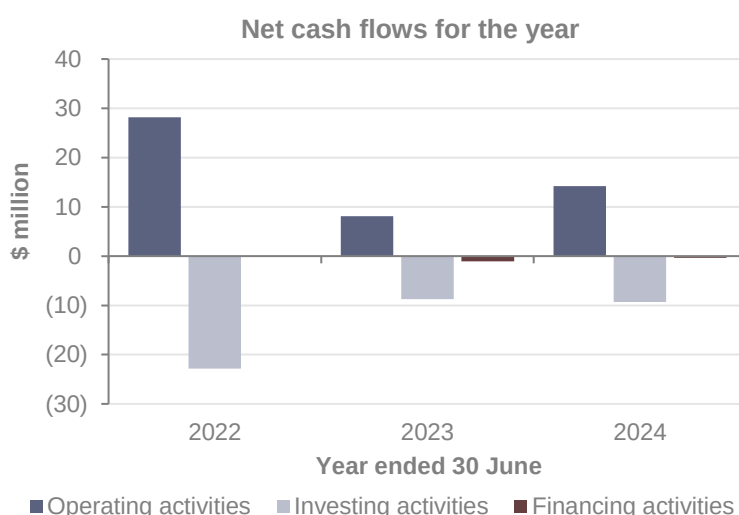
- an increase of \$1.46 million in the recognition of income for grant funded capital projects
- receiving 85 per cent of the financial assistance grants for 2024-25 in advance (100 per cent in 2022-23).

Council's operating result from continuing operations (\$5.14 million including the effect of depreciation and amortisation expense of \$5.91 million) was \$4.28 million lower than the 2022–23 result. This was mainly due to increased expenditure in materials and services including flood recovery and road maintenance, and reduced revenue from financial assistance grants.

The net operating result before capital grants and contributions (\$0.86 million deficit) was \$5.76 million lower than the 2022–23 result. This was due to the increased expenditure in materials and services and reduced revenue from financial assistance grants noted above.

STATEMENT OF CASH FLOWS

- The Statement of Cash Flows illustrates the flow of cash and cash equivalents moving in and out of Council during the year and reveals that cash increased by \$4.5 million to \$23.8 million at the close of the year.
- The increase is mainly due to more grant funds that remained unspent at the end of the year.



FINANCIAL POSITION

Cash and investments

Cash and investments	2024	2023	Commentary
	\$m	\$m	
Total cash, cash equivalents and investments	26.8	19.3	Externally restricted balances comprise mainly of specific purpose unexpended grants – general fund, domestic waste management charges, water and sewer funds.
Restricted cash and investments:			Internal allocations are determined by council policies or decisions, which are subject to change.
• External restrictions	15.2	10.7	
• Internal allocations	11.1	8.0	

Debt

After repaying principal and interest during the year, Council was debt free at year end.

PERFORMANCE

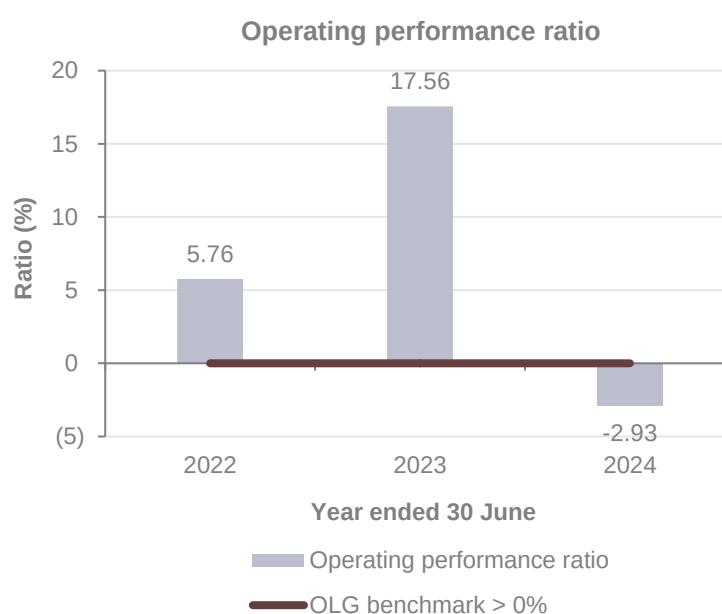
Performance measures

The following section provides an overview of the Council's performance against the performance measures and performance benchmarks set by the Office of Local Government (OLG) within the Department of Planning, Housing and Infrastructure.

Operating performance ratio

The Council did not meet the OLG benchmark for the current reporting period.

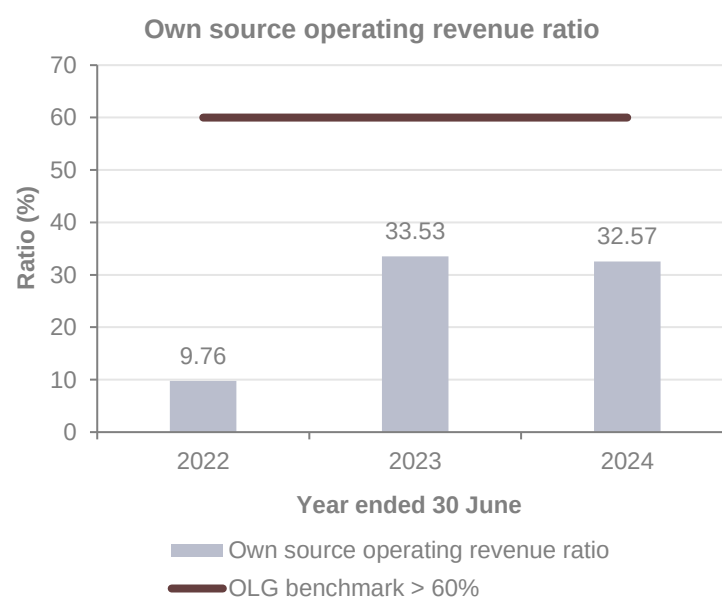
The 'operating performance ratio' measures how well council contained operating expenditure within operating revenue (excluding capital grants and contributions, fair value adjustments, and reversal of revaluation decrements). The benchmark set by OLG is greater than zero per cent.



Own source operating revenue ratio

The Council did not meet the OLG benchmark for the current reporting period.

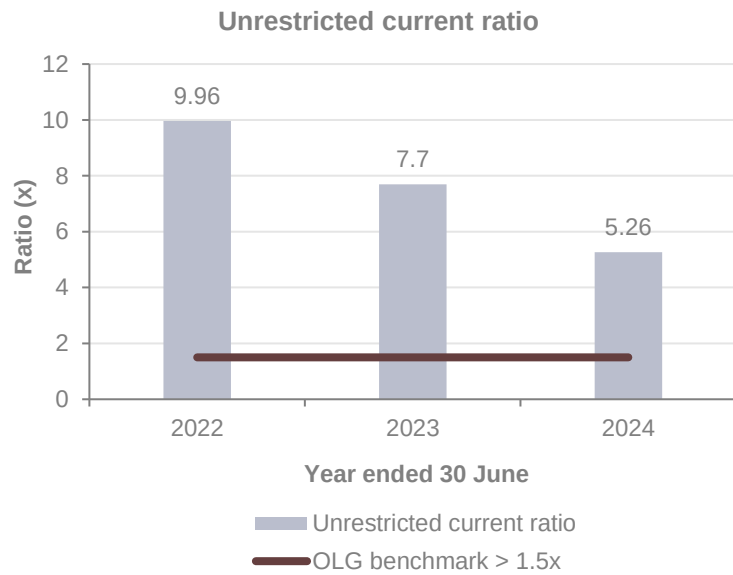
The 'own source operating revenue ratio' measures council's fiscal flexibility and the degree to which it relies on external funding sources such as operating grants and contributions. The benchmark set by OLG is greater than 60 per cent.



Unrestricted current ratio

The Council met the OLG benchmark for the current reporting period.

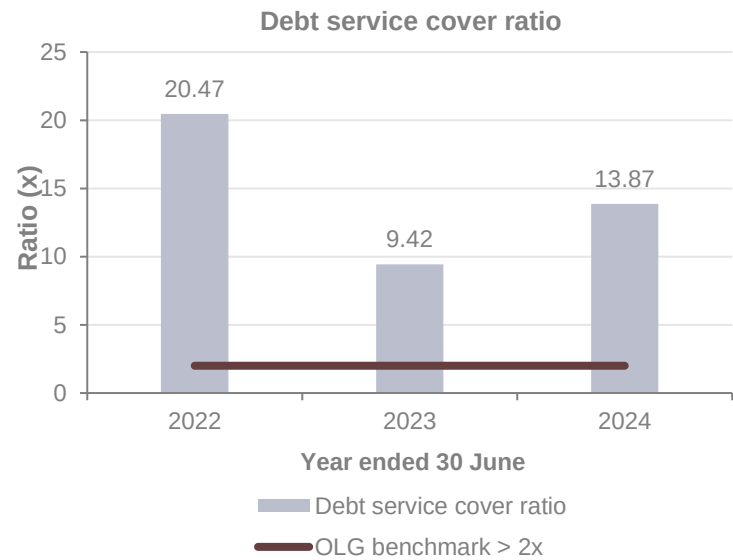
The 'unrestricted current ratio' is specific to local government and represents council's ability to meet its short-term obligations as they fall due. The benchmark set by OLG is greater than 1.5 times.



Debt service cover ratio

The Council met the OLG benchmark for the current reporting period.

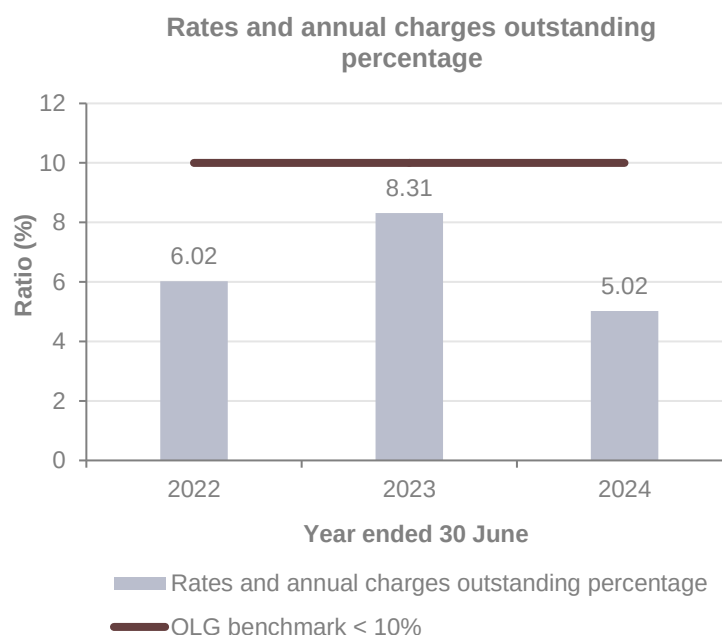
The 'debt service cover ratio' measures the operating cash to service debt including interest, principal and lease payments. The benchmark set by OLG is greater than two times.



Rates and annual charges outstanding percentage

The Council met the OLG benchmark for the current reporting period.

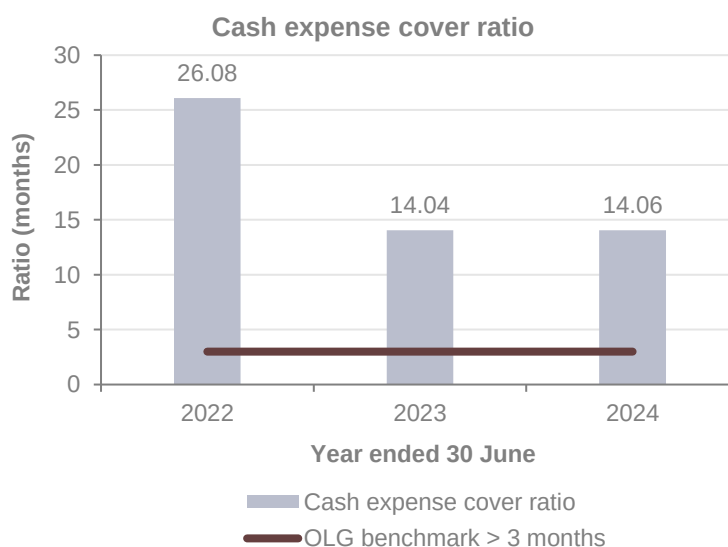
The 'rates and annual charges outstanding percentage' assesses the impact of uncollected rates and annual charges on council's liquidity and the adequacy of debt recovery efforts. The benchmark set by OLG is less than 10 per cent for regional councils.



Cash expense cover ratio

The Council met the OLG benchmark for the current reporting period.

This liquidity ratio indicates the number of months the council can continue paying for its immediate expenses without additional cash inflow. The benchmark set by OLG is greater than three months.



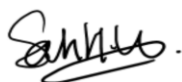
Infrastructure, property, plant and equipment renewals

- Council's asset renewal additions for the year were \$0.4 million compared \$1.7 million for the prior year
- The level of asset renewals during the year represented 6.7 percent of the total depreciation expense (\$6.0 million) for the year.

Legislative compliance

My audit procedures did not identify any instances of non-compliance the financial reporting requirements in Chapter 13, Part 3, Division 2 of the LG Act and the associated regulation or a material deficiency in the Council's accounting records or financial statements. The Council's:

- accounting records were maintained in a manner and form to allow the GPFS to be prepared and effectively audited
- staff provided all accounting records and information relevant to the audit.



Hong Wee Soh
Associate Director, Financial Audit

Delegate of the Auditor-General for New South Wales

Brewarrina Shire Council

SPECIAL PURPOSE FINANCIAL STATEMENTS for the year ended 30 June 2024

*Building on the economic and social sustainability in order
to preserve the rich heritage of the community*



Special Purpose Financial Statements

for the year ended 30 June 2024

Contents	Page
Statement by Councillors and Management	3
Special Purpose Financial Statements:	
Income Statement of water supply business activity	4
Income Statement of sewerage business activity	5
Statement of Financial Position of water supply business activity	6
Statement of Financial Position of sewerage business activity	7
Note – Material accounting policy information	8
Auditor's Report on Special Purpose Financial Statements	10

Background

- i. These Special Purpose Financial Statements have been prepared for the use by both Council and the Office of Local Government in fulfilling their requirements under National Competition Policy.
- ii. The principle of competitive neutrality is based on the concept of a 'level playing field' between persons/entities competing in a market place, particularly between private and public sector competitors.

Essentially, the principle is that government businesses, whether Commonwealth, state or local, should operate without net competitive advantages over other businesses as a result of their public ownership.

- iii. For Council, the principle of competitive neutrality and public reporting applies only to declared business activities.

These include **(a)** those activities classified by the Australian Bureau of Statistics as business activities being water supply, sewerage services, abattoirs, gas production and reticulation, and **(b)** those activities with a turnover of more than \$2 million that Council has formally declared as a business activity (defined as Category 1 activities).

- iv. In preparing these financial statements for Council's self-classified Category 1 businesses and ABS-defined activities, councils must **(a)** adopt a corporatisation model and **(b)** apply full cost attribution including tax-equivalent regime payments and debt guarantee fees (where the business benefits from Council's borrowing position by comparison with commercial rates).

Brewarrina Shire Council

Special Purpose Financial Statements

for the year ended 30 June 2024

Statement by Councillors and Management made pursuant to the Local Government Code of Accounting Practice and Financial Reporting

The attached special purpose financial statements have been prepared in accordance with:

- NSW Government Policy Statement, *Application of National Competition Policy to Local Government*
- Division of Local Government Guidelines, *Pricing and Costing for Council Businesses: A Guide to Competitive Neutrality*
- The Local Government Code of Accounting Practice and Financial Reporting
- Sections 3 and 4 of the NSW Department of Climate Change, Energy, the Environment and Water's (DCCEEW) *Regulatory and assurance framework for local water utilities, July 2022*.

To the best of our knowledge and belief, these statements:

- present fairly the operating result and financial position for each of Council's declared business activities for the year,
- accord with Council's accounting and other records; and
- present overhead reallocation charges to the water and sewerage businesses as fair and reasonable.

We are not aware of any matter that would render these statements false or misleading in any way.

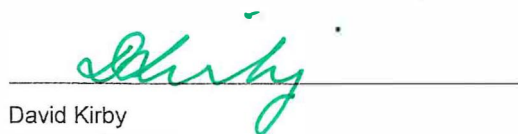
Signed in accordance with a resolution of Council made on 27 August 2024.



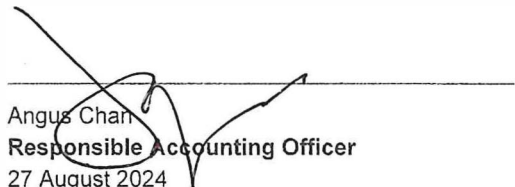
Vivian Slack-Smith
Mayor
27 August 2024



Angelo Pippas
Councillor
27 August 2024



David Kirby
General Manager
27 August 2024



Angus Chan
Responsible Accounting Officer
27 August 2024

Brewarrina Shire Council

Income Statement of water supply business activity

for the year ended 30 June 2024

	2024 \$ '000	2023 \$ '000
Income from continuing operations		
Access charges	805	778
User charges	436	280
Interest and investment income	136	93
Total income from continuing operations	1,377	1,151
Expenses from continuing operations		
Employee benefits and on-costs	289	200
Administration and engineering supervision	335	247
Materials and services	437	491
Depreciation, amortisation and impairment	513	475
Other expenses	69	39
Total expenses from continuing operations	1,643	1,452
Surplus (deficit) from continuing operations before capital amounts	(266)	(301)
Surplus (deficit) from continuing operations after capital amounts	(266)	(301)
Surplus (deficit) from all operations before tax	(266)	(301)
Surplus (deficit) after tax	(266)	(301)
Plus accumulated surplus	2,604	2,905
Closing accumulated surplus	2,338	2,604
Return on capital %	(1.8)%	(2.1)%
Subsidy from Council	911	875
Calculation of dividend payable:		
Surplus (deficit) after tax	(266)	(301)
Surplus for dividend calculation purposes	—	—
Potential dividend calculated from surplus	—	—

Brewarrina Shire Council

Income Statement of sewerage business activity

for the year ended 30 June 2024

	2024 \$ '000	2023 \$ '000
Income from continuing operations		
Access charges	512	502
Interest and investment income	71	58
Total income from continuing operations	583	560
Expenses from continuing operations		
Employee benefits and on-costs	140	122
Administration and engineering supervision	144	93
Materials and services	145	165
Depreciation, amortisation and impairment	207	280
Other expenses	18	26
Total expenses from continuing operations	654	686
Surplus (deficit) from continuing operations before capital amounts	(71)	(126)
Grants and contributions provided for capital purposes	–	5
Surplus (deficit) from continuing operations after capital amounts	(71)	(121)
Surplus (deficit) from all operations before tax	(71)	(121)
Surplus (deficit) after tax	(71)	(121)
Plus accumulated surplus	725	846
Plus adjustments for amounts unpaid:		
Closing accumulated surplus	654	725
Return on capital %	(0.8)%	(1.5)%
Subsidy from Council	445	474
Calculation of dividend payable:		
Surplus (deficit) after tax	(71)	(121)
Less: capital grants and contributions (excluding developer contributions)	–	(5)
Surplus for dividend calculation purposes	–	–
Potential dividend calculated from surplus	–	–

Brewarrina Shire Council

Statement of Financial Position of water supply business activity

as at 30 June 2024

	2024 \$ '000	2023 \$ '000
ASSETS		
Current assets		
Cash and cash equivalents	1,848	2,204
Receivables	348	251
Total current assets	2,196	2,455
Non-current assets		
Infrastructure, property, plant and equipment	14,992	14,269
Total non-current assets	14,992	14,269
Total assets	17,188	16,724
LIABILITIES		
Current liabilities		
Payables	36	6
Total current liabilities	36	6
Total liabilities	36	6
Net assets	17,152	16,718
EQUITY		
Accumulated surplus	2,338	2,604
Revaluation reserves	14,814	14,114
Total equity	17,152	16,718

Brewarrina Shire Council

Statement of Financial Position of sewerage business activity

as at 30 June 2024

	2024 \$ '000	2023 \$ '000
ASSETS		
Current assets		
Cash and cash equivalents	1,273	987
Receivables	76	60
Total current assets	1,349	1,047
Non-current assets		
Infrastructure, property, plant and equipment	8,689	8,653
Total non-current assets	8,689	8,653
Total assets	10,038	9,700
LIABILITIES		
Current liabilities		
Contract liabilities	45	20
Total current liabilities	45	20
Total liabilities	45	20
Net assets	9,993	9,680
EQUITY		
Accumulated surplus	654	725
Revaluation reserves	9,339	8,955
Total equity	9,993	9,680

Note – Material accounting policy information

A statement summarising the supplemental accounting policies adopted in the preparation of the special purpose financial statements (SPFS) for National Competition Policy (NCP) reporting purposes follows.

These financial statements are SPFS prepared for use by Council and the Office of Local Government. For the purposes of these statements, the Council is a non-reporting not-for-profit entity.

The figures presented in these special purpose financial statements have been prepared in accordance with the recognition and measurement criteria of relevant Australian Accounting Standards, other authoritative pronouncements of the Australian Accounting Standards Board (AASB) and Australian Accounting Interpretations.

The disclosures in these special purpose financial statements have been prepared in accordance with the *Local Government Act 1993* (Act), the *Local Government (General) Regulation 2021* (Regulation) and the Local Government Code of Accounting Practice and Financial Reporting.

The statements are prepared on an accruals basis. They are based on historic costs and do not take into account changing money values or, except where specifically stated, fair value of non-current assets. Certain taxes and other costs, appropriately described, have been imputed for the purposes of the National Competition Policy.

The Statement of Financial Position includes notional assets/liabilities receivable from/payable to Council's general fund. These balances reflect a notional intra-entity funding arrangement with the declared business activities.

National Competition Policy

Council has adopted the principle of 'competitive neutrality' in its business activities as part of the National Competition Policy which is being applied throughout Australia at all levels of government. The framework for its application is set out in the June 1996 NSW Government Policy statement titled 'Application of National Competition Policy to Local Government'. *The Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality* issued by the Office of Local Government in July 1997 has also been adopted.

The pricing and costing guidelines outline the process for identifying and allocating costs to activities and provide a standard for disclosure requirements. These disclosures are reflected in Council's pricing and/or financial reporting systems and include taxation equivalents, Council subsidies, and returns on investments (rate of return and dividends paid).

Declared business activities

In accordance with Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality, Council has declared that the following are to be considered as business activities:

Category 1

(where gross operating turnover is over \$2 million)

Council has no Category 1 business activities.

Category 2

(where gross operating turnover is less than \$2 million)

a. Brewarrina Shire Water Supplies

Comprising the whole of the water supply operations and net assets servicing the town of Brewarrina and the village of Goodooga.

b. Brewarrina Shire Sewerage Service

Comprising the whole of the sewerage reticulation and treatment operations and net assets servicing the town of Brewarrina and the village of Goodooga.

Taxation equivalent charges

Council is liable to pay various taxes and financial duties. Where this is the case, they are disclosed as a cost of operations just like all other costs. However, where Council does not pay some taxes, which are generally paid by private sector businesses, such as income tax, these equivalent tax payments have been applied to all Council-nominated business activities and are reflected in special purpose financial statements. For the purposes of disclosing comparative information relevant to the private sector equivalent, the following taxation equivalents have been applied to all Council-nominated business activities (this does not include Council's non-business activities):

Notional rate applied (%)

Corporate income tax rate – 25% (LY 25%)

Note – Material accounting policy information (continued)

Land tax – the first \$1,075,000 of combined land values attracts **0%**. For the combined land values in excess of \$1,075,000 up to \$6,571,000 the rate is **\$100 + 1.6%**. For the remaining combined land value that exceeds \$6,571,000 a premium marginal rate of **2.0%** applies.

Payroll tax – **5.45%** on the value of taxable salaries and wages in excess of \$1,200,000.

In accordance with DCCEEW's regulatory and assurance framework, a payment for the amount calculated as the annual tax equivalent charges (excluding income tax) must be paid from water supply and sewerage business activities.

The payment of taxation equivalent charges, referred to in the regulatory and assurance framework as a 'dividend for taxation equivalent', may be applied for any purpose allowed under the Act.

Achievement of substantial compliance to DCCEEW's regulatory and assurance framework is not a prerequisite for the payment of the tax equivalent charges; however the payment must not exceed \$3 per assessment.

Income tax

An income tax equivalent has been applied on the profits of the business activities. Whilst income tax is not a specific cost for the purpose of pricing a good or service, it needs to be taken into account in terms of assessing the rate of return required on capital invested. Accordingly, the return on capital invested is set at a pre-tax level – gain/(loss) from ordinary activities before capital amounts, as would be applied by a private sector competitor. That is, it should include a provision equivalent to the relevant corporate income tax rate, currently 25% (LY 25%).

Income tax is only applied where a gain from ordinary activities before capital amounts has been achieved. Since the taxation equivalent is notional – that is, it is payable to the 'Council' as the owner of business operations – it represents an internal payment and has no effect on the operations of the Council.

Accordingly, there is no need for disclosure of internal charges in the SPFS. The rate applied of 25% is the equivalent company tax rate prevalent at reporting date.

Local government rates and charges

A calculation of the equivalent rates and charges for all Category 1 businesses has been applied to all assets owned, or exclusively used by the business activity.

Loan and debt guarantee fees

The debt guarantee fee is designed to ensure that Council business activities face 'true' commercial borrowing costs in line with private sector competitors. In order to calculate a debt guarantee fee, Council has determined what the differential borrowing rate would have been between the commercial rate and Council's borrowing rate for its business activities.

(i) Subsidies

Government policy requires that subsidies provided to customers, and the funding of those subsidies, must be explicitly disclosed. Subsidies occur where Council provides services on a less than cost recovery basis. This option is exercised on a range of services in order for Council to meet its community service obligations. The overall effect of subsidies is contained within the Income Statements of business activities.

(ii) Return on investments (rate of return)

The NCP policy statement requires that councils with Category 1 businesses 'would be expected to generate a return on capital funds employed that is comparable to rates of return for private businesses operating in a similar field'.

Funds are subsequently available for meeting commitments or financing future investment strategies. The rate of return is disclosed for each of Council's business activities on the Income Statement.

(iii) Dividends

Council is not required to pay dividends to either itself (as owner of a range of businesses) or to any external entities.



INDEPENDENT AUDITOR'S REPORT

Report on the special purpose financial statements

Brewarrina Shire Council

To the Councillors of Brewarrina Shire Council

Opinion

I have audited the accompanying special purpose financial statements (the financial statements) of Brewarrina Shire Council's (the Council) Declared Business Activities, which comprise the Statement by Councillors and Management, the Income Statement of each Declared Business Activity for the year ended 30 June 2024, the Statement of Financial Position of each Declared Business Activity as at 30 June 2024 and the Material accounting policy information note.

The Declared Business Activities of the Council are:

- Water supply
- Sewerage

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Council's declared Business Activities as at 30 June 2024, and their financial performance for the year then ended, in accordance with the Australian Accounting Standards described in the Material accounting policy information note and the Local Government Code of Accounting Practice and Financial Reporting 2023–24 (LG Code).

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as the auditor of councils
- precluding the Auditor-General from providing non-audit services.

I have fulfilled my other ethical responsibilities in accordance with APES 110.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Emphasis of Matter - Basis of Accounting

Without modifying my opinion, I draw attention to the Material accounting policy information note to the financial statements which describes the basis of accounting. The financial statements have been prepared for the purpose of fulfilling the Council's financial reporting responsibilities under the LG Code. As a result, the financial statements may not be suitable for another purpose.

Other Information

The Council's annual report for the year ended 30 June 2024 includes other information in addition to the financial statements and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the general purpose financial statements and Special Schedules (the Schedules).

My opinion on the financial statements does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the general purpose financial statements and Special Schedule 'Permissible income for general rates'.

In connection with my audit of the financial statements, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Financial Statements

The Councillors are responsible for the preparation and fair presentation of the financial statements and for determining that the accounting policies, described in the Material accounting policy information note to the financial statements, are appropriate to meet the requirements in the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to:

- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial statements.

A description of my responsibilities for the audit of the financial statements is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar4.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- about the security and controls over the electronic publication of the audited financial statements on any website where they may be presented
- about any other information which may have been hyperlinked to/from the financial statements.



Hong Wee Soh
Delegate of the Auditor-General for New South Wales

24 October 2024
SYDNEY

Brewarrina Shire Council

SPECIAL SCHEDULES
for the year ended 30 June 2024

*Building on the economic and social sustainability in order
to preserve the rich heritage of the community*



Brewarrina Shire Council

Special Schedules

for the year ended 30 June 2024

Contents	Page
Special Schedules:	
Permissible income for general rates	3
Report on infrastructure assets as at 30 June 2024	7

Brewarrina Shire Council

Permissible income for general rates

	Notes	Calculation 2023/24 \$ '000	Calculation 2024/25 \$ '000
Notional general income calculation ¹			
Last year notional general income yield	a	1,120	1,154
Plus or minus adjustments ²	b	2	—
Notional general income	c = a + b	1,122	1,154
Permissible income calculation			
Percentage increase	d	3.70%	3.50%
Plus percentage increase amount ³	f = d x (c + e)	42	40
Sub-total	g = (c + e + f)	1,164	1,194
Plus (or minus) last year's carry forward total	h	23	33
Sub-total	j = (h + i)	23	33
Total permissible income	k = g + j	1,187	1,227
Less notional general income yield	l	1,154	1,228
Catch-up or (excess) result	m = k - l	32	(1)
Carry forward to next year ⁴	p = m + n + o	32	(1)

Notes

- (1) The notional general income will not reconcile with rate income in the financial statements in the corresponding year. The statements are reported on an accrual accounting basis which include amounts that relate to prior years' rates income.
- (2) Adjustments account for changes in the number of assessments and any increase or decrease in land value occurring during the year. The adjustments are called 'supplementary valuations' as defined in the *Valuation of Land Act 1916 (NSW)*.
- (3) The 'percentage increase' is inclusive of the rate-peg percentage, and/or special variation and/or Crown land adjustment (where applicable).
- (4) Carry-forward amounts which are in excess (an amount that exceeds the permissible income) require Ministerial approval by order published in the *NSW Government Gazette* in accordance with section 512 of the Act. The OLG will extract these amounts from Council's Permissible income for general rates Statement in the financial data return (FDR) to administer this process.



INDEPENDENT AUDITOR'S REPORT

Special Schedule – Permissible income for general rates

Brewarrina Shire Council

To the Councillors of Brewarrina Shire Council

Opinion

I have audited the accompanying Special Schedule – Permissible income for general rates (the Schedule) of Brewarrina Shire Council (the Council) for the year ending 30 June 2025.

In my opinion, the Schedule is prepared, in all material respects in accordance with the requirements of the Local Government Code of Accounting Practice and Financial Reporting 2023–24 (LG Code) and is in accordance with the books and records of the Council.

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Schedule' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I have fulfilled my other ethical responsibilities in accordance with APES 110.

I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Emphasis of Matter - Basis of Accounting

Without modifying my opinion, I draw attention to the special purpose framework used to prepare the Schedule. The Schedule has been prepared for the purpose of fulfilling the Council's reporting obligations under the LG Code. As a result, the Schedule may not be suitable for another purpose.

Other Information

The Council's annual report for the year ended 30 June 2024 includes other information in addition to the Schedule and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the general purpose financial statements, special purpose financial statements and Special Schedule 'Report on infrastructure assets as at 30 June 2024.

My opinion on the Schedule does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the general purpose financial statements and the special purpose financial statements.

In connection with my audit of the Schedule, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Schedule or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Schedule

The Councillors are responsible for the preparation of the Schedule in accordance with the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation of the Schedule that is free from material misstatement, whether due to fraud or error.

In preparing the Schedule, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Schedule

My objectives are to:

- obtain reasonable assurance whether the Schedule as a whole is free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the Schedule.

A description of my responsibilities for the audit of the Schedule is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar8.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- about the security and controls over the electronic publication of the audited Schedule on any website where it may be presented
- about any other information which may have been hyperlinked to/from the Schedule.



Hong Wee Soh
Delegate of the Auditor-General for New South Wales

24 October 2024
SYDNEY

Brewarrina Shire Council

Report on infrastructure assets as at 30 June 2024

Asset Class	Asset Category	Estimated cost to bring assets to satisfactory standard	Estimated cost to bring to the agreed level of service set by Council	2023/24 Required maintenance ^a	2023/24 Actual maintenance	Net carrying amount	Gross replacement cost (GRC)	Assets in condition as a percentage of gross replacement cost				
		\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	1	2	3	4	5
Buildings	Buildings – specialised	248	244	518	518	2,105	3,686	25.9%	12.2%	31.8%	23.4%	6.7%
	Buildings – non-specialised	564	74	–	–	26,829	38,514	29.3%	37.1%	24.8%	8.6%	0.2%
	Sub-total	812	318	518	518	28,934	42,200	29.0%	34.9%	25.4%	9.9%	0.8%
Other structures	Other structures	335	361	278	278	5,147	8,258	37.3%	24.8%	25.6%	7.9%	4.4%
	Sub-total	335	361	278	278	5,147	8,258	37.3%	24.8%	25.6%	7.9%	4.4%
Roads, Bridges & Footpaths	Sealed	4,063	3,432	–	–	136,056	163,082	79.7%	11.3%	1.5%	5.5%	2.0%
	Unsealed roads	81	163	–	–	15,011	18,630	93.9%	0.0%	5.2%	0.0%	0.9%
	Bridges	111	–	–	–	18,831	25,380	51.8%	44.1%	2.3%	1.8%	0.0%
	Footpaths	–	–	–	–	3,009	3,949	63.6%	0.0%	36.4%	0.0%	0.0%
	Sub-total	4,255	3,595	–	–	172,908	211,041	77.3%	14.0%	2.6%	4.5%	1.6%
Water supply network	Water supply network	2,194	4,666	302	302	14,247	25,902	16.0%	40.0%	7.8%	18.2%	18.0%
	Sub-total	2,194	4,666	302	302	14,247	25,902	16.0%	40.0%	7.8%	18.2%	18.0%
Sewerage network	Sewerage network	1,352	1,755	80	80	8,539	15,381	15.9%	42.1%	10.2%	20.4%	11.4%
	Sub-total	1,352	1,755	80	80	8,539	15,381	15.9%	42.1%	10.2%	20.4%	11.4%
Stormwater drainage	Stormwater drainage	295	–	–	–	708	1,943	1.5%	10.1%	1.9%	86.5%	0.0%
	Sub-total	295	–	–	–	708	1,943	1.5%	10.1%	1.9%	86.5%	0.0%
Open space / recreational assets	Swimming pools	495	1,513	–	–	1,732	3,196	29.1%	20.8%	2.7%	0.0%	47.4%
	Other recreational	13	–	136	136	1,174	1,393	77.5%	12.6%	4.8%	5.1%	0.0%
	Sub-total	508	1,513	136	136	2,906	4,589	43.8%	18.3%	3.3%	1.5%	33.1%
Aerodromes	Aerodromes	200	400	45	45	2,631	4,774	22.6%	52.1%	16.9%	0.0%	8.4%
	Sub-total	200	400	45	45	–	4,774	22.6%	52.1%	16.9%	0.0%	8.4%
Additional asset class (if required)	Levee Bank – Levee Bank	817	795	–	–	3,877	6,837	28.5%	16.7%	5.4%	37.8%	11.6%
	Sub-total	817	795	–	–	3,877	6,837	28.5%	16.7%	5.4%	37.8%	11.6%
Total – all assets		10,768	13,403	1,359	1,359	237,266	320,925	59.2%	21.2%	7.2%	8.2%	4.2%

Brewarrina Shire Council

Report on infrastructure assets as at 30 June 2024 (continued)

(a) Required maintenance is the amount identified in Council's asset management plans.

Infrastructure asset condition assessment 'key'

#	Condition	Integrated planning and reporting (IP&R) description
1	Excellent/very good	No work required (normal maintenance)
2	Good	Only minor maintenance work required
3	Satisfactory	Maintenance work required
4	Poor	Renewal required
5	Very poor	Urgent renewal/upgrading required

Brewarrina Shire Council

Report on infrastructure assets as at 30 June 2024

Infrastructure asset performance indicators (consolidated) *

\$ '000	Amounts 2024	Indicator 2024	Indicators 2023 2022		Benchmark
Buildings and infrastructure renewals ratio					
Asset renewals ¹	199	3.35%	37.62%	719.07%	> 100.00%
Depreciation, amortisation and impairment	5,935				
Infrastructure backlog ratio					
Estimated cost to bring assets to a satisfactory standard	10,768	4.31%	4.48%	1.27%	< 2.00%
Net carrying amount of infrastructure assets	249,989				
Asset maintenance ratio					
Actual asset maintenance	1,359	100.00%	100.00%	110.15%	> 100.00%
Required asset maintenance	1,359				
Cost to bring assets to agreed service level					
Estimated cost to bring assets to an agreed service level set by Council	13,403	4.18%	5.16%	1.06%	
Gross replacement cost	320,925				

(*) All asset performance indicators are calculated using classes identified in the previous table.

(1) Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.

Brewarrina Shire Council

Report on infrastructure assets as at 30 June 2024

Infrastructure asset performance indicators (by fund)

\$ '000	General fund		Water fund		Sewer fund		Benchmark
	2024	2023	2024	2023	2024	2023	
Buildings and infrastructure renewals ratio							
Asset renewals ¹	3.89%	46.97%	0.00%	0.00%	0.00%	0.00%	> 100.00%
Depreciation, amortisation and impairment							
Infrastructure backlog ratio							
Estimated cost to bring assets to a satisfactory standard	3.27%	3.45%	15.40%	14.02%	15.83%	18.25%	< 2.00%
Net carrying amount of infrastructure assets							
Asset maintenance ratio							
Actual asset maintenance	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	> 100.00%
Required asset maintenance							
Cost to bring assets to agreed service level							
Estimated cost to bring assets to an agreed service level set by Council	2.50%	3.44%	18.01%	18.08%	11.41%	14.97%	
Gross replacement cost							

(1) Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.